

# HDB FINANC SER (HDBFS)

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## Call: Jul 2025

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HDB/SLC/2025/1362

July 21, 2025

To,  
Listing Compliance Department  
National Stock Exchange of India Limited  
Exchange Plaza, Plot No C/1, Block G,  
Bandra-Kurla Complex, Bandra (East),  
Mumbai - 400051

Scrip Code: HDBFS To,  
Listing Compliance Department  
BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort,  
Mumbai - 400001

Scrip Code: 544429

Sub.: Transcript of Earnings Call for the quarter ended June 30, 2025

Dear Sir / Madam,

In continuation to our letter dated July 15, 2025, we wish to inform you that pursuant to Regulation 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call with analysts and investors held on July 15, 2025, in relation to the Unaudited Standalone Financial Results of the Company for the quarter ended June 30, 2025, has been made available on the website of the Company at the link:

<https://www.hdbfs.com/investor/dur62-financial-results>

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thanking you,

For HDB Financial Services Limited

Dipti Jayesh Khandelwal  
Company Secretary and Compliance Officer  
Membership No. F11340

Encl.: As above  
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HDB Financial Services Limited  
Q1 FY26 Earnings Conference Call Transcript

For the Earnings Call held on July 15, 2025, 18:30hrs IST

MANAGEMENT : MR. G RAMESH – MD & CEO  
MR. JAYKUMAR SHAH – CFO  
MR. VISHAL PATEL – HEAD, INVESTOR RELATIONS

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Disclaimer: Certain statements in this release are forward looking in nature , which involve a number of risks, and uncertainties that could caus e our actual results to differ materially from those in such forward -looking statements. HDB Financial Services Limited (HDBFS) does not undertake to update any forward -looking statement that may be made from time to time by us or on our behalf.

Moderator : Ladies and gentlemen, good day and welcome to the Q1FY26 Earnings Conference Call hosted by HDB Financial Services. Please note this conference call is for analysts and investors only.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vishal Patel from HDB Financial Services. Thank you and over to you, Mr. Vishal.

Vishal Patel: Thank you, Sagar. I welcome all of you to the first earnings call of HDB Financial Services Limited for Q1FY26 . We have with us Mr. G Ramesh – MD and CEO along w ith Mr. Jay kumar Shah, the CFO and the senior management of the company.

I believe all of you would have had a chance to peruse our financial results, investor presentation and press release which ha ve been filed with the stock exchanges earlier today and is also available on our website , [www. hdbfs.com](http://www.hdbfs.com).

We will start with the management remarks and then open up the call for Q&A. The audio recording of this call will be available on our website shortly after the call ends.

I would now like to welcome Mr. G Ramesh for his opening remarks. That will be followed by Mr. Jaykumar Shah who will provide a brief on the financial results followed by Q&A.

G Ramesh: Thank you, Vishal and a very good evening to all of you joining in. Let me begin by expressing my grat itude to the investor community, our customers, our stakeholders including our regulators and our parent HDFC Bank as we engage d with them on our IPO journey. Thank you all.

Being the first earnings call, I will take a few minutes to give a quick overview of the company and its operations before getting into the quarterly business update.

Started in 2007, we are one of India's largest diversified and retail -focus ed NBFCs with presence in more than 1 ,770 branches in more than 1 ,100 cities across India. As of June 30, 2025, we had Total Gross Loans of over ■ 1.09 Lakh Crores, a customer base of 20.1 M customers with an average ticket size of 164,000 – which emphasizes our truly granular and retail nature.

We offer lending products to our three business ve rticals , Enterprise Lending, Asset Finance and Consumer Finance.

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1) Enterprise Lending is the first business vertical started in 2008. It currently constitutes 39% of our Gross Loan Book and is focused on lending a variety of secured and unsecured loans to business customers, both individuals and businesses as well as certain types of salaried individuals. These loans are primarily delivered to our branch network, and these loans are aimed at providing finance for the growth and working capital requirements of our customers.

2) Asset Finance vertical, which we started in 2010, constitutes 38% of our Book and is aimed

at offering financing options to customers for acquiring new and used commercial vehicles, construction equipment and tractors. These are income generating assets. We have a strong OEM partnership and dealer network spread across the country as well as a dedicated in-house sales team that spearheads our efforts in this vertical.

3) Consumer finance vertical started in 2016. Today, it constitutes

23% of our Book.

Through this vertical, we aim at providing credit to individuals looking to finance their two-wheelers, consumer durables, digital products and cars or other lifestyle choices. Our large network of partnership with OEMs and dealers across the country, aided by a sales team present at the point of sale, backed by digitally assisted journeys, forms the fulcrum of sourcing this vertical.

The secured book, which is loan secured by a collateral, accounts for 73% of our Loan Book, while unsecured book is 27%. Broadly, our secured book consists of Loan against Property, Gold Loans in the Enterprise Lending vertical, entire Asset Finance vertical and Auto and Two-wheeler loans in the Consumer Finance vertical.

**Sourcing and Distribution**

We have a diversified and well-established channel tailor-made for each of the products in our suite, including pan-India branch network, tele-calling teams, OEM channels and dealer network, DSAs and digital sourcing. I elaborated on our branch network, channel partners and primary sourcing channels for each vertical earlier.

In addition to that, over 80% of our branches are located beyond 20 larger cities of India – in line with our focus on providing credit to 'aspirational India'. Our 38,000+ strong feet-on-street/field sales staff help us understand the Indian micro-market and design tailor-made product offerings to fulfil customer needs.

While our physical network ensures a high touch-and-feel factor, our processes are tuned to digital or assisted digital journeys, ensuring quick turnaround time and a seamless customer experience. Our mobile app, which is called HDB OnTheGo has crossed 10 M downloads.

This makes us a truly "phygital" company.

**Coming on to our Credit and Collections**

We have a 360-degree credit assessment methodology, and the credit vertical is headed by Chief Credit Officer, which is independent of the business origination verticals.

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Our hybrid credit underwriting model includes (1) a centralized automated system with scorecards and rule-based decision making for smaller ticket/low tenure loans and (2) an independent assessment by the branch-based credit managers, including physical evaluations of larger ticket loans. These are aided by product and geography-specific scorecards.

Our proprietary underwriting and credit scoring engine is seasoned across credit cycles and is updated periodically based on our understanding of micro-markets. This enables faster credit decisions.

**Coming to collections**, this function has been part of our operating model since our inception.

We have an in-house team of 12,500+ employees in our collections vertical consisting of tele-callers and feet-on-street, present at the branch, regional and national levels, ensuring sensitivity to local languages and customs. The collections team uses multiple scorecards to monitor collections across buckets. Each customer in the bucket is assigned a risk score band and has a pre-determined collection strategy based on which further action is taken by the collections team. Over 95% of our collections happens through the banking channels. Our collection process is monitored and tracked through our collections application developed in-house with geo-tagging and e-receipt capabilities.

We have a Center of Excellence with a dedicated central collections team, which is responsible for training and quality checks of collections personnel, tracking and monitoring the quality of our collections process and undertake centralized billing and auction off for asset disposals.

**In terms of our Financing (our liabilities)**

We have an independent treasury department that is responsible fundraising and liquidity management. We have diversified funding from various sources, including public, private sector and foreign banks, mutual funds, i

nsurance companies, pension funds and financial institutions.

We raise funds through NCDs, Term Loans, Commercial Papers, External Commercial Borrowings, Subordinate Debt and Perpetual Debt. Our treasury operations are monitored by the Asset Liability Committee (ALCO), which oversees our liquidity, interest and currency risks.

To briefly touch upon our Risk Management, we have a robust risk management framework and a comprehensive risk management policy. Our risk management team is led by our Chief Risk Officer with oversight by the Risk Management Committee of our Board of Directors.

With that, I'd like to extend my heartfelt thanks to our 80,000 plus employees, many of whom have been with us for over 18 years.

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Coming to the quarterly business updates, With an expected stable monsoon season – higher farm incomes and consequent rural demand can provide a stimulus to rural consumption while helping moderate headline and food inflation. The recent rate reduction by the regulator augurs well for growth, as economic momentum can be expected by private consumption and traction in fixed capital formation. Within consumer finance – Q1, which coincides with summer months, is typically a strong quarter for product segments like ACs and Refrigerators, or compressor products as we call them, wherein traction this year was seen to be relatively lower. Mortgage demand is expected to hold, especially with reduction in benchmark rates. Q1 generally tends to be a seasonally weak quarter for vehicle finance. Early indicators and volumes probably indicate a relatively muted quarter this year compared to a year ago, with corresponding stress on asset quality.

On that note, I will now hand over to Jaykumar, the CFO of the company, for an update on the financials.

Jaykumar Shah: Thank you, Ramesh and thank you very much everybody for dialing in. Moving on to the financial performance for the quarter.

■ Our customer franchise grew to 20.1 million, an increase of 5% during the quarter and 20.4% Y-o-Y.

■ The Total Gross Loans as at June 30, 2025, stood at ₹109,342 crores, growing 2.3% sequentially and 14.3% Y-o-Y. Secured loans, as Ramesh mentioned, comprise 73% of the total loan book.

■ Disbursements for the quarter ended at June 30, 2025, was ₹15,171 crores, down 14.0% sequentially and 8.1% Y-o-Y.

■ Our branch count, as Ramesh mentioned, stood at 1,771 branches, spread across 1,166 cities and towns.

■ Net interest income for the quarter was ₹2,092 crores, an increase of 6.0% Q-o-Q and 18.3% Y-o-Y.

■ Net Interest Margin (NIM) for Q1FY26 expanded to 7.7% versus 7.6% in Q4FY25 and 7.6% in Q1FY25.

■ Our Cost-to-income ratio for the lending business was 42.7% in Q1FY26 as compared to 42.9% in Q4FY25 and 43.2% in Q1FY25.

■ Credit cost for the quarter was ₹670 crores as compared to ₹634 crores in the prior quarter.

■ In Q1FY26, BPO services contributed to ₹14 crores or 1.9% of our Total PBT.

■ Profit after tax for the quarter ended June 30, 2025, stood at ₹568 crores as against ₹531 crores for the prior quarter.

■ Gross Stage 3, which in our case, is the same as gross NPA under IRAC norms, stood at 2.56% as at June 30, 2025, as against 2.26% as at March 31, 2025.

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■ Provision coverage on Stage 3 stood at 56.7%.

■ The return metrics are after accounting for primary IPO proceeds of ₹2,500 crores as at June 30, 2025.

■ ROA (annualized), as at the quarter end, stood at 1.94%, which includes assets of approximately ₹9,000 crores of OFS as at the quarter end. Adjusted for this, ROA would be 2.02%.

■ ROE (annualized) for the quarter ended June 30, 2025, stood at 13.16%.

■ Earnings per share for the quarter was ₹7.1 with a Book Value of ₹225.4/share

■ Our borrowing mix remains well diversified with 39% of our borrowings coming from NCDs

, 39% from bank loans, and rest as a mix of CPs, ECBs, Perp & Sub-debts, as is visible from the earnings presentation that we have put up.

■ We remain well capitalized with a total CRAR of 20.18% as at June 30, 2025.

With that, thank you once again to all our employees, the investor community, and all

stakeholders and shareholders, including the regulators, who have assisted us on our journey. I'll hand it back to the operator to help us open it up for Q&A.

Moderator: Thank you very much. We will now begin the Q&A session. Our first question comes from the line of Abhi jit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Yes. So, I don't know if you heard me. I was trying to say, first of all, congratulations on your first earnings call. I just had two questions. First is, you put out your disbursement mix in the quarter. So, I was seeing that Asset Finance disbursements were down almost 15% Y-o-Y. So, I was just trying to understand, if I look at the industry numbers, industry volumes, the volumes are not down to that extent. So, what is it that is leading to some weakness in terms of disbursement and growth in our Asset Finance vertical?

And second, in terms of asset quality, our 30 + DPD is up almost 90 basis points Q-o-Q. So, some weakness that we are seeing in asset quality. So, if you could just help us understand, this is more in the nature of the seasonality that we see in the first quarter, or is this more looking like some weakness in macro, which is contributing to it? And also, if you could help us understand, this weakness is more pronounced in vehicle financing or some other customer cohorts in Consumer Finance. So, just these two questions. Thank you so much.

G Ramesh: So, thank you for that question, Abhijit. And so, specifically, if you look at, you know, relative to the book growth of about 15%, our net interest income grew by about 18.3% Y-o-Y. And our Net Interest Margin also expanded to 7.7% from 7.6% primarily on the back of higher yield, right, the impact of some of the rate reductions that are there in the system really did not show up in Q1. We expect them to start showing up in the subsequent quarters as we replace our debt and as we replace our, you know, as our book grows, and as we take on newer debt to replace the older debt, which might be at a higher rate.

So specifically in Commercial Vehicles, what we've seen is anyway it's a seasonally weak quarter. One of the things that we have done is really re-orient our strategy around the product mix, which started reflecting in some of our NI M numbers in terms of the mix between the various asset classes within the Commercial Vehicle business, right? So, this recalibration is Q1 FY26 Earnings Call

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something that we started about a year ago, something that has started showing results in terms of net interest margins that we are starting to see inching up in our book. And so that's something that will play out over the next few months. So, that's largely where the Asset Finance space is there. And again, because it's a seasonally weak quarter, primarily some of our increase in the early stage delinquencies are in our secure loans, which is primarily in Commercial Vehicles. We expect that to calibrate over the next, you know, few months in terms of just the seasonality and the way the business works.

Abhijit Tibrewal: Got it. Just one last thing as a follow up. In terms of provisioning cover, if I am seeing this correctly, our provisioning covers on Stage 1 and Stage 2 have declined sequentially. So, just trying to understand, is this more a function of the ECL model? Because, I mean, all I'm trying to understand is if the macros are still weak, what is kind of going into the ECL model for it to churn out lower provision covers on your Stage 1 and Stage 2 loans?

Jaykumar Shah: So, Abhijit, in terms of how

we do our modeling overall ECL, we have very granular book in terms of overall loans. So, we work on a base model. Our overall provision, as you would see, is 3.3%, which is the same as last quarter. Our PCR is a constant. Some of the interplays that work is purely on account of book mix at every stage, you know, that works its way through. And some of the weakness that we've seen as Ramesh highlighted has been on the CV side, which is a secured product.

Moderator: Our next question comes from the line of Rajiv Mehta from Yes Securities. Please go ahead.

Rajiv Mehta: Again, just coming back to the disbursement decline-growth in the CV financing portfolio, it seems -- and I think from the ticket size, average ticket size, it seems that we predominantly do used vehicle financing in that product. So now this decline-growth and disbursement in business on a Y-o-Y basis would have been driven by, you know, seeing genuine slowdown in demand of used vehicles on the ground or was it because of factors like unsustainable competition or maybe pricing not being in line with your expectations?

Jaykumar Shah: So, two things, Rajiv. One is, you're right, there has been some weakness in the CV segment as a whole and that's coming through. Secondly, we don't really finance large vehicles. So, on the HCV space, etc., we're small. So, I mean, that's largely in terms of how the economy has fared and how the business is. There hasn't been any other specifics that we would highlight.

Rajiv Mehta: Okay. And in the Enterprise Lending segment, also the disbursements are down on Y-o-Y basis. So, is it driven by LAP or the unsecured business loans or in both segments have we seen the business being lower versus last year?

Jaykumar Shah: So, two things there. On the overall Enterprise Lending side, on the unsecured business loan is where we had consciously slowed down a couple of quarters ago. We're making sure, as the

economy turns around, we watch it closely. And as things turn around, we will move forward on that. So that space – we're very well entrenched into. So, we're keeping a close eye on that one. On the LAP front, I think there has been reasonable growth in line with how the overall markets moved is the way I would put it.

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Rajiv Mehta: Okay. And can you share the 1 to 30 DPD bucket, at the company level in absolute terms or percentage terms, how that has moved between June and March? Has it also significantly gone up sequentially, which is generally the case from a seasonality point of view, but is that bucket also still heavy as we get into the second quarter?

Jaykumar Shah: So, what I'll do is, I mean, there is a slide which very clearly states the stage one. Let me just look through that, and I'll come back to you. Probably we'll try and see if we can come back by the end of the call or we'll then address it. Yes.

Rajiv Mehta: Sure, sir. Thank you. Thanks so much.

Moderator: Thank you. Our next question comes from the line of Renish from ICICI. Please go ahead.

Renish: Yes. Hi Sir. Congrats on a good set of members. There's two questions. One on the asset yield side, which expanded 30 basis points sequentially. So just wanted to understand following this cycle, what is driving this effective expansion of sequential business? Is it driven by the asset mix change or we have increased the lending business...

Jaykumar Shah: Renish, my apologies. Can you go a little slow? We are struggling to hear you.

Renish: Yes, yes. Is it better now, sir?

Management: Yes, it's better now.

Renish: Yes. So, first question on the asset yield side, which expanded almost 30 basis point sequentially.

So, just wanted to understand in the falling rate cycle, what is driving the asset yield expansion?

I mean, is it driven by the asset mix change or we have increased lending rates in some of the segments?

ents?

G Ramesh: So, Renish, there are two factors which are driving the yield expansion. One is that within each product that we do, there's a pretty large range of pricing that we have depending on the borrower profile and the asset profile, right? For example, a simplistic example, commercial vehicles, a heavy commercial vehicle to a fleet versus a used commercial vehicle which is 5 years old to a first-time borrower. There's a fairly large range of pricing that you have.

So, some of the products that we have, we have tweaked the product mix in terms of yield expansion at the product level. And that's what's really driving the yield expansion. Pricing is really a function of what we finally deliver as the product mix in each product. And that's what's really driving the yield expansion.

Renish: Okay. So, is it fair to assume that maybe 10-20 basis point here and there, but broadly, I think it will remain at around 15%, I mean, in near term?

Jaykumar Shah: So, Renish, Jay here. Our yields are approximately 14.1, 14.2, which is what we hold on to. Not sure where you got 15% from, but that's the yield, right? And the NIMs is what we really have been very focused on. That's 7.7%, which is what we've been very focused on as a whole.

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Renish: Okay. And secondly, on the credit cost front, so this quarter, our credit cost remains strictly at 2.5%, which is understandable given typical Q1 seasonality. But when we look at even on annual basis, the same is higher by 70 on basis point. We just wanted to understand which product is sort of giving the stress and where do we stand in terms of asset quality cycle in the products which are under stress currently? And when can we expect the normalization of credit cost in some of the segments?

Jaykumar Shah: So, in terms of credit cost, I would say it's largely in line with our expectations in terms of where we ended the quarter. So, I think that is the first important statement there. In terms of products, we had, even during previous interactions with the broader community, stated that there has been past stress in unsecured business loans and a little bit on the CV, which we expect to stabilize, as Ramesh said, over the coming months. So, we'll watch that space closely and move from there.

Renish: Okay. So, apart from unsecured business loan and CV, there is no other segment which is sort of showing any sign of stress. I mean, is that fair to assume?

Jaykumar Shah: So, we haven't seen any unwarranted spikes anywhere, is the way I would put it.

Renish: And just to follow up on that, so in CV...

Jaykumar Shah: Renish, we'll take one question and the rest later...

Renish: Sure. I'll come back in the queue.

Moderator: Thank you. Our next question comes from the line of Viral Shah from IIFL Capital. Please go

ahead.

Viral Shah: Yes. Hi. First of all, thank you and congratulations on the first quarter. I had two questions. One is, you mentioned that you expect that in the, especially the consumer piece of the business and some bit in the CV, the current stress, which is there, it should kind of say or is close to peaking out and it should start improving in the next few months.

When I look at the Consumer Finance disbursements, which is almost now flattish on a Y-o-Y basis and a sequential basis, we have seen a growth. Are we already starting to say, push the pedal of, say, growth or slightly loosening the filters over there?

G Ramesh: So, just to clarify, Viral, the Consumer Finance business is doing quite well. I think where we had a lower ticket size compared to what we would have anticipated is primarily because certain products that sell quite in a large volume during the quarter, we had lower traction on those products, primarily the compressor products, which account for larger ticket size. But otherwise, if you see, I think

customer engagement has been quite strong during the quarter. As we mentioned, we are now 20.1 million customers, up 0.9 million customers in the quarter. So, in terms of customer traction, it's been quite healthy. I think where we have, I think there are two product categories where we said our credit cost has had an elevation in the last couple of quarters is one, Commercial Vehicles, and second is unsecured business loans. The Consumer

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Finance categories, you know, otherwise, both from a growth and quality perspective is doing quite well.

Viral Shah: Okay, got it. And you mentioned about the unsecured business loans. Over there also, you expect, say, a similar kind of recovery in the second half? Or is that something that may take some more time?

Jaykumar Shah: So, Viral, we'll watch it closely. As I mentioned, I think it has obviously the macros also playing out in it. So, it's a space we'll watch closely. It is currently stabilizing in a decent form. And let's look through the coming months.

Viral Shah: Got it. And my second question, with regards to basically our opex, and this is more, I would say, when I look at us and compare it with some of our peers, somehow the productivity levels seem to be a bit weaker on a relative basis when I look at, say, either per branch or per employee. And I'm looking at just the lending business, not the overall business.

So, over here, do we see a pathway of structurally, say, the operating leverage now from here on playing out as we kind of keep growing? And what is that extent of operating leverage that we can see over the next 2, 3 years?

Jaykumar Shah: So, Viral, I'll give you our side of it. The most important thing you need to look at us as HDB is we're a very focused retail-only entity, right, with an average loan size of around 160,000 - 165,000, right? And individual 20 large customers, if you take, it's only 0.32%. Now, that level of granularity, when you operate through the network, it is going to be at a slightly different cost base in terms of how others might operate. And I'm no expert to comment on anybody else, but we believe at this level of how we're operating, obviously, every management would look to improvising on things and getting better efficiency. But at this stage, if you look specifically in the current quarter, our Cost-to-income ratio has improved by almost 20 bps compared to the prior quarter.

So, we're very seized of the fact that costs play an important role in the overall ROA metric. And at this point in time, I think we're working through the branch network, the retail network that we have, and our focus, always remains on delivering the overall ROA.

Viral Shah: Okay, just a bit, like, the guidance in terms of the opex specifically over the medium term?

Jaykumar Shah: So, I think we'll take it at a future point in time. I think there is lots of interplay in the overall macro-economy. I don't think it's fair to provide a guidance in specific.

Viral Shah: Got it. Thank you, and all the very best. Thank you so much.

Moderator: Thank you. Our next question comes from the line of Suresh Ganapathy from Macquarie. Please go ahead.

Suresh Ganapathy: So just a little bit on what you think will be the eventual sustainable credit cost, because we are already at 2.5% for this quarter. And the fourth quarter was, I mean, sorry, last year, full year was 2.1% because we're already operating at a high level. And your numbers are much higher

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than peers. And also, the ROA level at 1.9%, again, it is much, much lower than peers. So, is the business model inherently having higher credit costs and therefore lower ROA? Because we have touched 3% ROA also in the past. So, we want to know where the reality is and where things would eventually settle, because you

u are currently operating at 1.9% RO A. That's one

point. And yes, so that's the first question. Maybe then I'll go for the second one. Yes.

Jaykumar Shah: Suresh, I'll try and answer your questions. So, on the credit cost level, as I said, Q1 has been weaker and almost in line with expectations. We expect things to move in the right direction from here on and stabilize through Q2 and then improve going forward. That's our current working assumption and the piece that we're working on. That's one.

On the RO A front, as I mentioned, the way to look at 1.9% is really 2.02% because of the ₹9,000 crores sitting there. And as credit costs start to improve, you'll automatically see an improvement in ROA.

Another important thing, Suresh, is that, on the rate reduction, as Ramesh mentioned, the benefits of that haven't really come through at this point in time for us. And something that you will see in terms of NIM expansion over the coming quarters.

Suresh Ganapathy: Okay. And this is my last question. It's just a qualitative understanding since you guys, of course, run the business. What is explaining this CV slowdown? Is the government not spending? Is the rural incomes weaker? Because we see rural incomes being very buoyant. Last year, monsoon was fantastic. Still, we have had this kind of an outcome in the CV space. Is it over-leveraging?

Any kind of qualitative assessment that you can give on what has gone wrong here?

G Ramesh: So, it's very difficult for us to give a color on how and what drives certain volumes. Like, for example, one of the things that we think happened, for example, in the compressor space was that there were unseasonal rains. It wasn't too hot and, that led to certain lower traction that we saw on compressor product financing. So, that's relatively easier to sort of guess. Very difficult to guess what's driving vehicle sales at any point of time. I guess, there are many factors, including availability and revenues that are coming.

I think one of the things that's happened in the last few years is that vehicle prices have gone up quite sharply, also led by many technological changes. For example, one of the things is that I think newer vehicles require an air-conditioned cabin. It's a production requirement, and that will automatically increase prices, which means that vehicles are being deployed for longer than they used to be in the past. Also, maybe because vehicles are much more sturdy in terms of quality and capability as compared to maybe a couple of decades back. So, something that we are watching and monitoring.

One of the things that we have done internally is actually really focused on aligning our segment-wise strategy in Asset Finance, and which I explained also has contributed to our NIM expansion on the yield side. As I said, our NIM has expanded because our yields have improved, not because of benefit of cost of funds, which will start coming from Q2 onwards.

Suresh Ganapathy: But, Ramesh, that can increase credit costs also, right, because you're moving up the risk curve.

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G Ramesh: We really look at it from a risk-adjusted return. I think we are okay with increasing credit costs as long as the risk-adjusted return is favorable.

Suresh Ganapathy: Sure. That's clear. Thank you.

Moderator: Thank you. Our next question comes from Shubhranshu Mishra from Phillip Capital. Please go ahead.

Shubhranshu Mishra: Hi. Good evening. I have two or three questions. The first one is, we are still in a startup phase, right? If I look at the product portfolio, only LAP and Enterprise Business Loans are the ones that are really stable, rest of them are anywhere between two to four years. So, are we going to see closure of any businesses or addition of any new business lines going forward? That's the first question.

The second is around the customer segment

t. Out of the 20 million customers that we have, how many do we bank on a monthly basis, which is NACH hitting their bank accounts? And what is the percentage of repeat customers in those 20 million?

The third question is around the PCR, which is about 56%. Despite a large proportion of our businesses being secured, 56% in ECL methodology would basically allude to the LGD. So, are we carrying excess provision or are LGDs at around 50%?

Jaykumar Shah: Sorry, Shubhranshu. I think we caught some of your questions. Some of them was not very clear. I'll just repeat the question so that we're on the same page. Any closure or new businesses that you're planning to start? That was your first question. Second question we caught out was current customers, and then I think we lost some of it.

Shubhranshu Mishra: Right, right. From the current customer set, of a customer of 20 million, how many are we banking on a monthly basis? And what is the percentage of repeat customers here? The third question was around the PCR. We are at 56% PCR, despite a higher proportion of secured business. So, PCR would mean basically LGD. So are LGD at 50%+ or are we carrying excess provision?

Jaykumar Shah: So, on PCR today, Shubhranshu, what we've done is we've calibrated it based on what we believe are the right levels to carry. Of course, there's a model that shows up a number, and then we look

at it in terms of the overall market and individual product -wise, and we carry provisions accordingly. So, that's on the PCR.

Shubhranshu Mishra: So, there's no excess provisions there?

Jayku mar Shah: As I mentioned, I think there will be some amount of product -wise, specific book -wise that we look at on a quarterly basis, and we maintain provisions to make sure the risks are well covered.

G Ramesh: So, in terms of product mix, Shubhranshu, we do evaluate new credit products all the time. You know, as and when we have a new product out, we'll put it out to the market. At this point of time, there's no product that we're considering for closure. That's not in the plan right now. We're broadly comfortable with the product mix that we have and working towards making sure that

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we are not dependent on any one product or any one category to an extent that it impacts our balance sheet.

In terms of repeat customers, that really depends on some of the products. For example, within our Consumer Finance segment, and if you've seen our business presentation, we have a deck on all the products, right? And so, in consumer finance, there's a product...

Jaykumar Shah : Slide 17.

G Ramesh: Slide 17, which talks about our products. So, Relationship PL, which is a product which accounts about 7% of our AUM, is only for existing customers of the company. So, that business is 100% existing customer -only product.

But otherwise, from a - just a market opportunity perspective, about more than 60% of our customers will be new to HDB customers at any point of time, all right? And we don't lend money to customers who don't have a bank account. So, the first option for collections is through a bank account, and only if the customer is unable to pay or has missed the payment to the bank account, do we pursue other collection modes.

Shubhranshu Mishra: How many customers do we bank on a monthly basis?

G Ramesh: That would be in excess of 10 million.

Shubhranshu Mishra: Right.

G Ramesh: ....we bank all our customers if that's the question.

Shubhranshu Mishra: So, we are banking 20 million customers on a monthly basis, 20 million EMI?

Jaykumar Shah : Sorry, sorry.

Moderator: Shubhranshu sir, your line was not quite audible. Could you please repeat the question once again?

Shubhranshu Mishra: How many bank accounts do we present in NACH ?

G Ramesh : We bank all of them. All of our customers. All of them. We collect NACH mandat

e from every

customer that we work with.

Shubhranshu Mishra: So, 20 million NACH mandates every month is what I'm asking.

Jaykumar Shah: So, 20 million is the life -to-date customers that we have, right? That is the overall customer s.

Shubhranshu Mishra: How many do we bank on a monthly basis? How many NACH presentations on a monthly basis out of the 20 million?

Jaykumar Shah: So, I think, let me come back to you on that one, right? As I said, overall, from a banking point of view, we bank all our customers. In specific, in terms of the breakup, I think we'll look into it and come back.

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Shubhranshu Mishra: Thank you.

Moderator: Thank you. Our next question comes from the line of Pranuj from JP Morgan . Please go ahead.

Pranuj: Hello. Thank you for taking my question. So, coming back to the CV bit of it, I think you commented on what is driving the volume slowdown. But if I come back to the asset quality in terms of operator profitability, can you give us some sense of how do you expect it to move?

Because you did allude to the point that the cost of ownership has materially gone up over the last few years, while freight rates may not have kept up pace with that. They move more in line with the diesel moment. So, like any outlook on operator profitability and vehicle utilization levels, and what gives you the confidence that this could improve in the coming quarters? Thank you.

G Ramesh: So, the bulk of our customers are relatively small transporters, right? I mean, typically a vehicle or two. I think their business model is fairly independent of how fleets and large operators work.

So, these are essentially jobbers or people picking up loads locally. They have tie -ups locally with people and they're working through moving the goods from one place to another, either within a district or within a state. Our exposure to large fleets is quite small. So, in these businesses, it's not really a cost per kilometer, but it's more availability. It's typically a per trip

or per project kind of pricing that these businesses work on, and not really a cost per kilometer kind of model. So, to that extent, it's a fairly different model that -- of customer that we work with. I mean, our exposure to fleets and those kind of customers who work on large contracts is quite small. I mean, that's really how we think about it.

Pranuj: But are you observing any impact on -- are you observing that operator profitability is getting adversely impacted in for these small road transport operators because the cost of vehicles have moved up? And also on the -- you also said it depends on the availability of trips. So, on the vehicle utilization front, on a Y-o-Y basis, are you noticing any improvements happening?

Jaykumar Shah: So, Pranuj, as Ramesh mentioned, our book is very granular. It's slightly different to the segment I believe you may be looking at in terms of, large operators. I think what we can do is we can connect offline to maybe understand better, and you can connect with our IR team, and then we can take it forward. Okay?

Pranuj: Sure. Thank you.

Jaykumar Shah: Thank you so much.

Moderator: Thank you. Our next question comes from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: Yes. Hi. Good evening. Thanks for the opportunity. A couple of questions. The first one is again coming to that, your asset quality or credit cost. I mean, of course, you alluded partly to the seasonality of Q1, but I mean, if we were to look numbers since March 2024, quarter-by-quarter, I mean, the gross NPAs have gone up, and credit cost also inched up.

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So, overall, I mean, where do you see, I mean, given that your customer mix, your business segments, at what time, I mean, or like at what levels do you think it's going

to peak out? Because

the question is that, okay, now, I mean, of course, March '24, a pretty low level of credit cost. Now, we are nearing 2.5%. So at what point, I mean, given the macro scenario or particular to your business strategy, where do you see these peaking out? Because this is not typical seasonality, because even if you look at quarter-on-quarter, it has been just inching up over the last five -odd quarters. So, at what level, I mean, do you start to see sort of that, okay, that has peaked out and it should improve? That's one.

Second, if I, of course, you partly, I guess, touched upon this question, if you look at your profitability matrix at the end of the day, I mean, right now, it's a bit subpar. Now, what would be the kind of your realistic goal in terms of ROAs and improvement from here? I mean, if you can just break it down into what kind of improvement you expect from NIM and what kind of expectation, I mean, improvement expectation is from credit cost, because, I mean, given your kind of a business model, Opex will not likely see much improvement. So, how -- what kind of improvement do you see in terms of NIM and credit cost? And what is sort of your target ROA, if one can say? Thanks.

Jaykumar Shah: Thanks a lot, Avinash. So, Avinash, a couple of things. NPAs, in terms of where we are, if you see our last couple of quarters, it's been -- in terms of credit cost, it's stabilized. Overall, the question around peaking, etc., it's a lot more of how the overall economy functions and how economic activity moves, right? And I wouldn't want to double guess something, but most people that I talk to seem to be more optimistic in terms of how the next couple of quarters will play out and move forward. So, let's hope and let's work from there in terms of the overall economic activity in the country and things moving from there. So, that's one.

In terms of profitability and moving forward, a couple of things we mentioned to a question which came earlier from one of your colleagues was that on the NIM side, the benefits of our rate reduction, which has happened on the repo side, hasn't really come through. So, that we see coming through from Q2 onwards.

And the other important thing. So, a couple of things you look at in that mix, 77%, almost 75%-76% of our book is largely secured and is also fixed rate, right? Very important. Whereas today we've taken some benefit and if you look at last quarter versus this quarter, our bank borrowings, which are completely EBLR linked, have increased. So, we've taken some benefits there and that should help us in terms of the overall profitability.

Second component, as I mentioned, on the asset quality side, as things start to improve, the credit cost moderates. Both those are key parameters in terms of the NIM and credit cost and that should play itself out in terms of ROA improvement.

Avinash Singh: Okay, thank you.

Jaykumar Shah: Thank you so much.

Moderator: Thank you. Our next question comes from the line of Shweta from Elara Securities. Please go ahead.

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Shweta: Thank you, sir, for the opportunity and congratulations on the first quarterly earnings. Three questions from my side.

Sir, while you alluded to the fact that not all woes are behind an unsecured loan, what is your assessment of the new book behavior formation? And I'm also coming from the fact that considering stage two, stage three, year -on-year basis have seen stark spike. Of course, you have attributed this to persistent CV weakness, but then any particular portfolio dominating the stage two spike? Second, just a related question, any legacy /pandemic -led challenges, assets lingering in Stage 2 or Stage 3?

And third question, what is your AUM growth guidance and what are the levers considering there has been, again stark change in disbursement mix for t

his particular quarter sequential basis? Thank you.

Jaykumar Shah: So Shweta, a couple of things. In terms of the new book behavior on unsecured, as I mentioned, things have stabilized over the last few months and we're watching it closely to make sure it's sustainable and take it forward from there.

In terms of the spike in the delinquencies of Stage two as such, has come through on the CV side, as Ramesh alluded to earlier as well, and we're very hopeful that things move through in the right direction, which is what is expected. In terms of legacy, we don't have any legacy issues as such.

In terms of guidance, we have basically a policy of not providing guidance as such, so I'll keep it at that. And we look at the overall economic growth as the primary indicator in terms of how things move forward.

Shweta: Thank you. That's very helpful.

Moderator: Thank you. Our next question comes from the line of Piran from CLSA. Please go ahead.

Piran: Just a couple of questions on your liability side ...

Moderator: Sorry to interrupt sir. Your line is not clear.

Piran: Yes. Hi. So just congratulations, firstly. Secondly, some questions on your liability side. So when it comes to bank borrowings, what's the mix between MCLR and repo -linked or T -bill-linked borrowings?

Jaykumar Shah: So, 90 %+ or 95 % of our entire borrowings is EBLR -linked.

Piran: Okay. And, when your bank lines are coming up for renewal, are banks now, taking an additional spread? Let's say repo's down 100 bps, they can't afford it. Are they increasing the spread by, say, 25 bps or whatever? Or is it the same spread over repo?

Jaykumar Shah: This is something we work through with each of our banking partners. And we have very long -term relationships with all our banks whom we work through.

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Piran: Okay. Let me ask you another way. Is it fair to say that the EBLR book sustainably re -prices downwards by 100 bps? Are you confident of that?

Jaykumar Shah: The EBLR book surely re -prices in line with the markets. Okay.

Piran: Okay. Fair enough. Yes . Thank you so much.

Moderator: Thank you. Our next question comes from the line of Rajiv Mehta from Yes Securities. Please go ahead.

Rajiv Mehta: No, I think my question is partially answered. But just one thing in terms of, in the current environment when the asset quality trends are not very supportive , in CV – what will be our growth approach? Are we cutting back or I mean, are we not taking our earlier share of volumes at the dealerships? Or is there any change in our approach of business in CV or any other product? Or have we changed, maybe our filters or policies, which will kind of slightly moderate our growth further in the coming few quarters? And as a response to the asset quality, what is happening here?

Jaykumar Shah: So, Rajiv, again, it's something that we look through very holistically, obviously, at the ground, there'll be granular strategies on various products, sub -segments, etc. The main focus on the CV business as a whole, one thing that Ramesh, did mention that we're also looking at, doing more of used as, you know, a strategic piece. And we'll work from there.

Rajiv Mehta: Sure, sir. Thank you.

Jaykumar Shah: Thank you.

Moderator: Thank you. Our next question comes from the line of Bhuvnesh Garg from Magma Ventures . Please go ahead.

Bhuvnesh Garg: Just a couple of questions. Firstly, on your provisioning coverage. So if I look at on Y-o-Y basis, Stage 1 coverage has gone down from say 2% to 1.5%. And similarly, Stage 2 coverage has gone down, Stage 3 has gone down. So just want to understand, is there any policy change or is it or what is what is driving this changing provisioning level?

Jayku mar Shah: Thanks a lot, Bhuvnesh. So if you look at our overall provisions, the way I'd like you to look at it is on the book, we had a 3.3% pr

ovision. Today, also, we had a 3.3% from March to June.

PCRs have remained a constant or actually, slightly inched up. Our book is very granular, Bhuvnesh, and a lot depends on the book mix in terms of which product moves in which fashion. We follow a consistent model. And, things could move a little bit in terms of different stages as well. So we don't have any large assets, as I mentioned, our top 20 borrowers is 0.32%. That's how I would want to look at it.

Bhuvnesh Garg: Yes, I understand that on Q-o-Q basis, there is not much change, but on Y-o-Y basis, for example, June '24, versus June '25. So that shift is quite significant across the buckets. So just want to know if there is any policy change on yearly basis?

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Jaykumar Shah: So I think, as I mentioned, overall, the way I would want you to look at it is more Q-o-Q because, we have moved in the overall economy over the last 12 months. And what would be best in terms of, a credit comparison, our overall PD, LGD that etc., would be a March to June would be a better comparison.

Bhuvnesh Garg: Okay, understood. And just a second question on your asset quality. So if I look at your segmental asset quality from your annual report disclosure, it seems that we have seen sharper deterioration in GNP A, Vehicle Finance NPA compared to peers. And even for last 3, 4 years, our asset quality performance in Vehicle Finance seems to be lagging the peers. So what is the reason for this? And is it a product specific? Is it geography specific? Or what and what changes are you making to improve this performance?

Jaykumar Shah: So I think we alluded to earlier in the call that there has been weakness in the CV segment. Right? And, I mean, in terms of the higher, stress in the book, we're very seized of that opportunity in terms of work in progress that we're working on.

Bhuvnesh Garg: Oh, fine. That's it from my side. Thank you.

Jaykumar Shah: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, we are at the end of the allotted time. I now hand the conference over to Mr. Jaykumar Shah for closing comments.

Jaykumar Shah: Thank you very much. Really appreciate all of you taking the time today to hear us out. And thank you. Thank you so much.

Moderator: Thank you. On behalf of HDB Financial Services, that concludes this conference. Thank you for joining us, you may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy

## Call: Oct 2025

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HDB/SLC/2025/1393

October 18, 2025

To,  
Listing Compliance Department  
National Stock Exchange of India Limited  
Exchange Plaza, Plot No C/1, Block G,  
Bandra-Kurla Complex, Bandra (East),  
Mumbai - 400051

Scrip Code: HDBFS To,  
Listing Compliance Department  
BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort,  
Mumbai - 400001

Scrip Code: 544429

Sub.: Transcript of Earnings Call for the quarter ended September 30, 2025

Dear Sir / Madam,

In continuation to our letter dated October 15, 2025, we wish to inform you that pursuant to Regulation 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call with analysts and investors held on October 15, 2025, in relation to the Unaudited Standalone Financial Results of the Company for the quarter ended September 30, 2025, has been made available on the website of the Company at the link:

<https://www.hdbfs.com/investor/dur62-financial-results>

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thanking you,

For HDB Financial Services Limited

Dipti Jayesh Khandelwal  
Company Secretary and Compliance Officer  
Membership No. F11340

Encl.: As above  
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HDB Financial Services Limited  
Q2 FY26 Earnings Conference Call Transcript

For the Earnings Call held on October 15, 2025, 18:30hrs IST

MANAGEMENT : MR. G RAMESH – MD & CEO  
MR. JAYKUMAR SHAH – CFO  
MR. VISHAL PATEL – HEAD, INVESTOR RELATIONS

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Disclaimer: Certain statements in this release are forward looking in nature , which involve a number of risks, and uncertainties that could caus e our actual results to differ materially from those in such forward -looking statements. HDB Financial Services Limited (HDBFS) does not undertake to update any forward -looking statement that may be made from time to time by us or on our behalf.

Moderator : Ladies and gentlemen, good day and welcome to the Q2FY26 Earnings Conference Call hosted by H DB Financial Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that th is conference is being recorded . Ladies and gentlemen , also note this conference call is only for analysts and investors and not for media. I now hand the conference over to Mr. Vishal Patel from H DB Financial Services. Thank you and over to you, Mr. Vishal.

Vishal Patel: Thank you, Sagar. I welcome you all to the Q2 FY26 earnings call of H DB Financial Services Limited. We have with us Mr. G Ramesh – MD and CEO along wi th Mr. Jay kumar Shah – CFO and the senior management of the company .

I believe all of you would have had a chance to peruse our financial results, investor presentation and press release, which have been filed with the stock exchanges earlier today.

We wi ll start with the management remarks and then open up the call for Q&A. Audio recording of this call will be available on our website shortly after the call ends.

I will now request Mr. G Ramesh for his opening remarks, followed by Mr. Ja ykumar Shah who will provide a brief on the financial results. We will open up thereafter for Q&A.

G Ramesh: Thank you, Vishal, and very good evening to all of you who have joined us today. Greetings of the season.

Briefly on the macros , India seems to be in a very unique situation in terms of domestic economic activity, showing resilience in spite of geopolitical uncertainties as indicated by GDP estimates and high frequency indicators.

The latest monetary policy review commentary on growth and inflation estimates bodes well for the economy. The robust monsoon season is expected to perk up rural consumption . Easing inflation, and the impetus provided by GST rationalization bodes well for the broader economy and financiers as we step into the festive season.

The regulator 's comments as a part of the latest monetary policy commentary on the draft circular for forms of business is meaningful and augurs well for us , while we wait for the final guidelines.

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Coming to the quarterly business updates , as you would all recollect, we have our businesses which are bucketed into three distinct business lines.

The first business is what we call Enterprise Lending . This business has both secured and unsecured loans.

The secured lending products, which pri marily consist s of loan against property (LAP) and enterprise business loans, grew moderately in Q2. On gold loans, recent changes in regulations

in the gold loans business has helped us gain good traction in Q2 along with increase in price of the metal and augurs well for this segment going forward.

We have held a conservative position on unsecured business loans. As asset quality pressures ease, we expect to return to a growth trajectory in the coming quarters.

The second business that we have is what we call Asset Finance.

In Asset Finance: We had faced challenges in the commercial vehicle financing segment (CV) on asset quality in Q1 and this continued through Q2 as well. Monsoon accentuated matters as high precipitation in specific geographies of the country, i.e. North and East, impeded vehicle

deployment with consequent impact on customer cash flows. Based on our business insights, we believe that vehicle idling, which is a phenomenon that we normally notice in Q2 because of monsoon, was much higher this year than in the prior years. The second factor was that there was deferment of demand for vehicles because of announcement of GST rate rationalization. However, with the extended monsoon season and a seasonally slow quarter behind us, we anticipate a positive momentum in book growth with the onset of the festive season and supported by key policy changes made by the Government through GST rate cuts, which have essentially reduced the cost of ownership of commercial vehicles.

On Consumer Finance, which is the third business line

In this segment, again, growth was moderate in Q2 due to demand deferment on expected GST reductions, which have actually now come through specifically in some product categories like two-wheelers, consumer durables and auto.

There should be a pickup in demand in auto, two-wheelers and consumer durables (CD) on the back of 1) Festive season, 2) Easing inflation, 3) Better kharif crop sowing and growing farm incomes, and that should be a positive for this segment going forward. We have already started seeing good movement in retail off take in the first few days of October, which should reflect in the months ahead.

Thank you all for joining in and wishing everyone a very happy Diwali and a wonderful festive season. I will now hand over to our CFO, Mr. Jay Kumar Shah for an update on the financials.

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Jaykumar Shah: Thank you, Ramesh. A very warm welcome to all. Moving on to the financial performance for the quarter.

■ Customer franchise grew to 21.0 million with an increase of 4.2% sequentially and 19.6% Y-o-Y.

■ The Gross Loan Book as of September 30, 2025 stood at ₹111,409 crores, growing 1.9% sequentially and 13% Y-o-Y. Secured loans comprise 73% of the Total Loan Book

■ Disbursements for the quarter ended September 30, 2025 was ₹15,599 crores, up by 2.8% sequentially

■ Branch count stood at 1,749, spread across 1,157 cities and towns

■ Net interest income for the quarter was ₹2,192 crores, an increase of 4.8% Q-o-Q and 19.6% Y-o-Y

■ Net Interest Margin (NIM) for Q2FY26 improved to 7.9% vs 7.7% in Q1FY26 and 7.5% in Q2FY25

■ Cost-to-income ratio for our lending business declined to 40.7% in Q2FY26 as compared to 42.7% in Q1FY26 and 42.7% in Q2FY25. The ratio for the half year was 41.6% as compared to 43.0% compared last year H1FY25

■ Cost-to-assets reduced from 3.8% to 3.7% Q-o-Q

■ Pre-provisioning operating profit for the quarter was ₹1,502 crores as against ₹1,388 crores for the prior quarter

■ Credit cost for the quarter was ₹748 crores as against ₹670 crores for the prior quarter.

■ Profit after tax for the quarter ended September 30, 2025 was ₹581 crores as against ₹568 crores for the prior quarter

■ Gross Stage 3 as at September 30, 2025 stood at 2.81% as against 2.56% as at June 30, 2025

■ Provision coverage ratio on Stage 3 stood at 54.73% as at September 30, 2025

■ RoA (annualized) for the quarter ended September 30, 2025 stood at 1.93% which includes opening assets of approximately ₹9,000 crores of OFS money on June 30, 2025. Adjusted for this, the RoA would be 2.02%

■ RoA (annualized) for H1FY26 stood at 2.1%

■ RoE (annualized) for quarter ended September 30, 2025 stood at 12.23%

■ Earnings per share for the quarter was ₹7.0 and Book Value per share stood at ₹233.1

■ Our borrowing mix remains well diversified with a positive cumulative mismatch across all buckets up to 5 years  
■ We remain well capitalized with total CRAR i.e. capital adequacy of 21.82% as at September 30, 2025  
So, this was a summary from our end. So far, we can now open the floor for Q&A.

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Moderator: Thank you very much. We will now begin with the Q&A session. Our first question comes from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Good evening, sir. Thank you for taking my question. So, a couple of things. In your opening commentary, you spoke about some stress that we saw in CV in 1Q and that continued in 2Q as well. You also spoke about some vehicle idling, which in 2Q was much higher than prior years. Likewise, in the last quarter, you had shared something around MSME that we have seen. If you could just touch upon that. In addition to that, are there any other newer retail stress segments which have emerged within the quarter? That is my first question.

The second question was, now that we have practically seen through almost the festive season, maybe another five days to go, what is the view that is emerging? I remember you ended your opening remarks by saying that in the first few days of October, we are seeing a good retail uptick. So, if you could just, for the benefit of all of us, kind of dwell on that, how has the festive season been, both Navratri and what is Deepavali looking like?

And lastly, sir, given that you are among the first NBFCs to report in a new season, if you could just kind of speak about some of the trends that you would have seen in the last quarter, that would help all of us? Thank you, sir.

Jaykumar Shah: Thank you, Abhijit, for your questions. I will try and answer them. Jaykumar here. So, in terms of the stress segment, Abhijit, I will just cover it as a whole, I think, so that it helps holistically. As you are aware, Enterprise Lending is approximately 38% of our book, Asset Finance approximately 38%, and the remaining is Consumer Finance.

We spoke about, and you specifically referred to MSME. We had quoted last time stating that we had seen stabilization in our MSME book, and that is continued into Q2 as well. So, we haven't seen any significant stress increase in MSME space within the Enterprise Lending segment that we had called out earlier. So, that's one.

Second, on the CV space in specific, we had stated at the end of Q1 that there were certain challenges. As Ramesh alluded to, on account of some of the monsoon challenges, i.e. flash floods that you have seen in the North and East of the country - there have been certain areas which have actually been closed for more than a week /10 days /or even 15 days. This has resulted in vehicles not really plying the roads, which has impacted our customer base, and, as a result of which, that there has been stress which has come through. As we have moved into towards latter part of September - we believe that that was an event that happened in August, or July and August, and we should be moving forward from here on.

In terms of the festive season view, we are, as you know, all of us have read in the newspapers, and as all of us are looking around in the market, there is a lot of positivity that we see all around us in the retail segment. We are very hopeful that with that positivity, we should be able to ride that, ride the market, and do well over the coming quarters.

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Abhijit Tibrewal: Just a follow-up there, sir. So you spoke about this positivity in the festive season. We have seen that across both auto as well as consumer durables?

Jaykumar Shah: So in the consumer segment, we are surely seeing it. In the other segments, there is some amount of positivity, but I think we have to give it time. It is the first week, 10 days of October. As we go through the month of October and beyond, we will have to see that.

Abhijit Tibrewal: Got it, and so other than CV and MSME, there is no...

Jaykumar Shah: Can I request you to come back in so t

that others also get a chance, and then I am sure I can answer more. Thank you so much.

Abhijit Tibrewal: Thank you.

Moderator: Thank you. Our next question comes from the line of Viral Shah from IIFL Capital. Please go

ahead.

Viral Shah: Yes, hi. Thanks for the opportunity. So, if you can just , say, double -click on the asset quality piece. So, you mentioned that MSME has not seen any deterioration on a sequential basis. And even in Asset Finance, it is only commercial vehicle. So this entire stress of, I would say, what we are seeing in net slippages is attributable only to the commercial vehicle segment on a sequential basis.

And secondly, Jay, if you can also talk about the provisioning. So , if I see and look at the Stage 1 and 2 numbers also, I understand Stage 3, there could be some write -off imp act. But why has the PCR come down for the Stage 1 and 2? That would be two questions for my end . Thank you.

Jaykumar Shah: Okay. So I will cover the first one first, which is on terms of slippages, etc. It is materially coming from the CV segment. There has been a little bit of construction equipment (CE) that gets affected , naturally. It is in a similar domain . But that is rather small. Largely, it has come through the CV segment. So when you look at 2.56 % to 2.8 %, that is what contributes to it in terms of slippages.

As far as the provisioning is concerned, you would think about it – as the last time also we had spoken, ours is largely a formula -based piece. We have a very diverse portfolio ranging from LAP through to Consumer Finance . The book mix in terms of what sits in what book drives it a lot more. Plus, the PD -LGD of each book is very different. If you look at our Stage 3 provisions, again, as the secured book has gone into it, there is a slight bit of difference, but that's more because each product has a PD -LGD.

On Stage 2, our provisions are largely similar. On Stage 1, as some of the book mix has moved, there is a slight bit of reduction. But on overall basis, fundamentally, there is no change in approach that we have towards provisioning.

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Viral Shah: Got it. And just on your piece and commentary with regard to the CV segment, you mentioned that that is the major contributor. Within that, is it the new or the used piece? And has it anything to do with the correction in the CV prices, especially on the used piece?

G Ramesh: What happens in Q2, it is a seasonal thing and it happens both in construction equipment and in commercial vehicles, that there is some amount of idling that happens. For example, let's say a construction equipment is being used in a mine, and the mine gets flooded because of rains. So, there will be idling of the machine. Similarly, if there is very heavy rains, and if a vehicle typically covers, let's say 100 kilometers or 150 kilometers a day, that might come down by about 20 %-30%. So, historically, if you look at Q2 as a season for commercial vehicles, there's about 20% idling that you can look at in this period, as compared to Q3 or Q4. Some of our insights suggest that this time in certain markets, that went as high as 30 %-35%. So, it's not really a vehicle type, but really where the vehicle was and how the vehicle got impacted by unseasonal rains or inability to commute because of weather conditions.

Viral Shah: Yes, got it. Thank you so much, and all the very best.

Moderator: Thank you. Our next question comes from Shubhranshu Mishra from Philip Capital. Please go ahead.

Shubhranshu Mishra: Hi, thanks for the opportunity. So, quickly on the climatic change impacting our book . Climatic change today is a reality. So, are we providing additionally for this and because even the climate change can be predicted to a certain extent. So, and this should be a seasonal thing. So, anything more to eat into the asset qu

ality and what should be a sustainable credit cost that we should punch into our models? Also, if you can spell out the PD and LGD assumptions for the CV piece . Thanks.

Jaykumar Shah: Thank you. So, Shubhranshu , I will cover the second part , first. So, in terms of PD , LGDs, how we look at, we have depending on the individual product between a 5-8 year bucket in terms of the data that is available. So, we go through the cycle in terms of what is the probability of default (PD) and the loss given default (LGD) for each asset type and that is what we factor in. In terms of specifically on seasonality, you are right, it does affect in certain times and India is a country where seasonality of course is there. That largely gets factored into PD , LGD and also in the asset movement. So, today, if you look at it where some of the book has moved to Stage 3 from Stage 2 between September and December, sorry, between June and September, you are actually seeing provisions increase. So, it naturally factors it in terms of the risk parameter , for us to look at it more closely and then work on corrections and recoveries.

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Shubhrranshu Mishra: What would be blended PD -LGD, if you could please call that out for the C V book?

Jaykumar Shah: We don't put it out because I think it's a complex model. But what I would suggest is you speak to our IR team, you speak to Vishal after the call and we will see how to best factor that in.

Shubhrranshu Mishra: Can I just squeeze in one last question?

Moderator: Sorry to interrupt , Shubhrranshu sir. May we request you return to the queue for any follow -up questions, please ? Thank you. Our next question comes from the line of Shweta from Elara. Please go ahead.

Shweta : Thank you, sir, for the opportunity. So, I have two questions. The first on credit cost. So, barring the pandemic period, today the credit costs have actually reached historical highs. So, at 2.7%, knocking off the seasonal challenges pertaining to the first half of the year , what is the normalized credit cost going forward, say, for the next t wo years? That's the first question. Second, again, sorry to harp on asset financ e, on the CV side . So, while you mentioned about certain distinct challenges of vehicle idling, also certain markets or regional challenges, will these challenges be able to – will these challenges negate the positive s coming from GST rate rationalization? , and therefore, do we expect CV vehicle financing growth to remain subdued even for the remainder part of the year? Yes, those are my two questions.

Jaykumar Shah: Okay. So, in terms of credit cost, let me take on that one. Shweta, what we look at is, I would not say, we do not provide a n immediate term forecast. But in the 3-5 year period, we look to operate within a 2.2% plus /minus in terms of overall credit cost , and that is where we believe the ideal range for our book is. Today, we are at 2.7%, which is on the elevated side , and we expect that to start coming down from the coming quarters. That's the first one.

In terms of GST rate rationalization, I think we have got to watch that space closely. It is a very recent phenomenon, where things have just about panned out in the last two weeks, if I can put it that way. People are still getting to terms , in terms of how should some of the used segment play and some of the new segment play. We believe that with the country growing, there is enough opportunity. As we go through this coming quarter, I think it will be worth watching that space and then commenting on it.

G Ramesh: So, one more point, Shweta , that you asked about the credit cost. So, if you look at pre -pandemic, our product mix is very, very different compared to what it is today. For example, our consumer book was just about 10% six, seven years ago. So, really, you can't compa

re credit costs, let's

say, five year s ago with the credit cost today, because our product mix has changed substantially.

Many of the products that were very small in our book five years ago are large contributors to our balance sheet. So, when we look at credit cost, it has been sort of a bl ended cost based on the product mix , and as I said, Ja y has sort of given you a credit cost that we are comfortable with, given our current product mix.

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Shweta: Right. So, just a follow -up question there on commercial vehicles ...

Moderator: Shweta ma'am, may we request you to return to the queue for any follow -up questions, please?

Thank you so much, ma'am. Our next question comes from the line of Avinash Singh from

Emkay Global Financial Services Limited. Please go ahead.

Avinash Singh : Yes. Hi. Good evening. Two questions. The first one is that can you please help your mix of new and old in your CV? And the second question is, with all these kind of – some bit of challenges that were there and some bit of a demand revival across businesses a nd added consumption, this 13% kind of growth, of course, I would think are lower than normal. What kind of growth do you expect to pan out in H2 and probably in FY27 ? Thanks.

Jaykumar Shah: Thanks, Avinash. So, Avinash, let me answer both your questions. The first one was new and used. So, if you look at our slides, this is something which a lot of you had asked for. So, if you look at our slides on Slide 18, we have actually put it out. So, CV new is 16% and CV used is 9% of our book today. In terms of yo ur other question was?

Avinash Singh: On growth outlook, because I mean, 13% growth ...

Jaykumar Shah: Yes. So from a growth outlook point of view, the way – I think one of your colleagues asked the question earlier . The way we would look at it is Q3 , again, as I mentioned, we see a lot of upbeat in terms of the entire expectation from the market, expectation from the customer and expectation on the street. Now, that needs to translate – the first week, 10 days, as Ramesh mentioned, have been positive on the consumer side. We are very hopeful that that translates into a much better growth momentum for the entire retail industry. That should augur well for

our growth for the quarter and beyond.

In terms of the medium term, if I were to look at a 3-5 year trajectory in terms of how we build our projections and we build our growth forecast, we look at 18 % - 20% CAGR book growth over a period of time . Of course, as GDP moves forward and grows well, we would adjust and we have the absolute engine and the capability to do a lot more. So again, GDP numbers came in positive over Q1 and assuming that continues over Q3 and Q4, you should see good momentum pick up for us as well.

Avinash Singh: Okay . Thank you.

Moderator: Thank you. Our next question comes from the line of Shreya Shivani from Nomura. Please go ahead.

Shreya Shivani : Yes, hi. Thank you for the opportunity. I have a question on the LAP book. I can see your ticket sizes are on the higher side in this book. However, if you can help us understand, do we have under 10 lakh ticket size over here? What is the stress trend in this portion, if any?

Now, second question is on the business loan and the gold loan. Broadly similar kind of a ticket size and assuming that the same kind of customer would come to you for either of the loans. Can

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you help me understand, was the trend very divergent? Did you go slow on business loan and gold loans , do we have an idea which must have grown at a much faster pace? So those are my two questions. Thank you.

Jaykumar Shah: So, thank you so much. Shreya, on terms of LAP book, we might have a few loans here and there in terms of less than 10 lakhs, but most of them are, in the average book

that's mentioned.

So it's, you know, 2.5 million plus, right? That's one.

In terms of business loans, as Ramesh mentioned, we have been slightly conservative in that space. It is an area we have specifically called out over the last, I would say almost 3 quarters, where we have had stress and we have watched that space closely. We have now achieved some level of base where we believe credit cost is moderated and expected to come down. We would hope and work on growth in that business in the coming quarters.

Last one being on the gold side, that is an area as was specifically mentioned at the beginning, we see it as a good opportunity with all the rules harmonizing. Our book has almost grown by 10% Q-o-Q and 40% Y-o-Y in the gold space.

Shreya Shivani: Just on the LAP portion, any stress trends for your portfolio? I understand you do not have under 10 lakhs, but anything that you would like to highlight over there?

G Ramesh: So, just at a level, the way LAP is underwritten is that – this is a customer who has got a property that he or she owns , and that's a collateral for a business loan that the customer takes, which means that the business has to have sound financials to generate enough cash for a monthly EMI. Now, if you are looking at a loan of, let's say, 5 million, you are looking at a EMI of upwards of ₹50,000 a month and what you expect the customer generate adequate cash flows to be able to service that kind of EMI. So I think the advantage of a collateral is that the company is able to give a slightly longer term loan, so which reduces the monthly outflow. But also because you are writing a longer tenure, you have to make sure that the business that the customer has is of a quality that can sustain for the next few years while the loan is being serviced.

Unsecured business loan, by contrast, is for smaller amounts , and if you can see our ticket size is about ₹300,000, but they are also underwritten for shorter tenures, which means that the EMI is in the region of ₹10,000 to ₹15,000. You are evaluating the customer for ability to service a smaller amount for a shorter tenure.

Gold loans, by contrast, are typically shorter tenure contracts , because this is a product where customers would like to pre-pay as soon as possible , because it is really a temporary business requirement that they are looking at to fulfill. So , I think your question is probably around micro LAP as a segment. We typically do not have exposure to that segment. We are underwriting customers with larger value properties and larger ticket sizes.

Shreya Shivani: No, no, completely understood. This is very clear. Thank you so much.

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G Ramesh: Thank you.

Moderator: Thank you. Our next question comes from the line of Rajiv Mehta from YES Securities. Please go ahead.

Rajiv Mehta: Yes. Hi. Good evening. My first question is on asset quality. So when I look at your loan stages

and the movement to the quarter, so Stage 3 increasing is a very pretty much in line with the seasonal pattern. When we look at the overall Stage 3, including the right of amount. But when we look at Stage 2, Stage 2 is stable and broadly by calculating the flows coming from Stage 1, the flow rate seems to be improving while I mean, Q1 Q2 improves, but even by and by the flow rate seems to be stable. Are there any early indications that from Stage 1, the collection efficiency is now getting better or the flow rates from Stage 1 going into Stage 2? Is it getting better in the recent months?

Jaykumar Shah: So Rajiv, let me give you a little longer answer and try and address your question. If you look at Stage 3, right, as we called out earlier, there has been certain flood like situations. Assam was closed for 5 days for certain reasons, the northern belt had certain challenges. So some of the expectations that

we had in terms of bringing the book back in towards the second half of September actually faced challenges. We are working on obviously improving that and getting the book back in. In terms of a number of actions that we had taken through July and August, that did help us in curbing some of the flow forwards from August to September. Recoveries is something which we have to improve, coming into October, November that should really help us bring the Stage 3 back in.

These were very specific things on the ground, which happened due to which circumstances, did not help in reaching out to customers for a reason or the other. Obviously, there are reasons and we are very hopeful that we could bring that back in in the coming months.

G Ramesh: But your observation on Stage 2 assets being stable or improving is correct. There is obviously a higher focus on collection efficiencies, which we have started seeing across most products. We expect commercial vehicles to also improve as the economy and, you know, next few months that we are looking at.

Rajiv Mehta: Okay. Internally, what will make us push growth? I mean, I know Macro, GST, some demand will improve. But internally, what are the indicators? What thresholds will make us push growth on the ground? , and a related question is on competition, do you see the competitive space getting slightly more cleared now, some irrationality in competition going out in certain products?

Jaykumar Shah: So from a growth point of view, Rajiv, I think that is something we are equally focused on. Let's see how, the Diwali festive moves forward for across all segments of us, be it business loans, be it, the LAP side, as Ramesh mentioned, it's businesses that we are funding, and as confidence starts to come back, we should see a better offtake there.

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Similarly, on the CV side, as you have seen, we are doing more of used, as prices also move around, that is still a portfolio, which we believe, there should be good growth coming in.

Similarly, on the consumer side, as we mentioned, the first 10 days have seen some good traction on the field and we are very hopeful as we move from now through to 23rd, 24th of October, and to the end of the month, that traction actually pushes us into a zone where, not just October, but the entire quarter looks a lot more positive. So we are very well geared up within the company and within the team to push for a reasonable amount of growth.

Rajiv Mehta: Got it. Thank you.

Moderator: Thank you. Our next question comes from the line of Renish from ICICI. Please go ahead.

Renish: Yes, hi. Sir just two questions. Sorry for coming back to the growth outlook. So given we have a very large bucket of products. So incrementally which product do you feel should drive the growth and which are the products where you will still go little cautious in near term?

Jaykumar Shah: So the way I would look at it Renish is growth across all, if I can put it that way genuinely, segment that we have been slightly cautious of and which is just about stabilizing is the business loan segment that we have. We believe in the coming quarters that should also start to see growth.

Some of the consumer side, clearly if you look at auto loans it has kicked up in terms of really well over the last two to three weeks, two wheelers have also started picking up and so have consumer durables. So over the course of Q3 and Q4, we believe there should be, given the economy as well as the customer sentiment, there should be enough amount of power behind each one of these products for us to grow. It is obviously going to depend on the overall economic and the geopolitics that plays out, but let's assume if everything stays equal, we should be able to move ahead on most fronts.

Renish: Okay, so should we assume CV might take a couple of more quarters before

we start pushing

growth or do you see that product segment as well contributing to growth incrementally?

Jaykumar Shah: So CV is a reasonable sized book for us. There are some segments within that which we will

push more on , in terms of where we see long term focus , and there are certain segments like HCV, for example, where we may not push very hard in the short term.

Renish: Got it, and just a last question on the asset quality only.

Moderator: Sorry to interrupt. Renish sir, may we request you return to the queue for any follow up questions, please?

Renish: Okay.

Moderator: Thank you, sir. Our next question comes from the line of Shreepal Doshi from Equirus . Please go ahead.

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Shreepal Doshi: Hi, sir. Thank you for giving me the opportunity. My question was particularly on the enterprise lending and within that, especially on LAP , Business Loans and Enterprise Loans. So how have we seen the bounce rates, let's say, for September versus what it was probably in Feb, March period? Have we seen signs of improvement there or is it still at the same -- or has it gone down? So just some color on that front?

Jaykumar Shah: So Shreepal the way I would like you to look at it is, our LAP book has been fairly stable -- something which has very low credit costs and it has operated in a similar zone over the last six to nine months or maybe almost a year. So that is how I would want you to look at it rather than an increasing, decreasing trend. It is a stable portfolio, something we are very focused on, something we wish to grow and has reasonably good asset quality.

Shreepal Doshi: And so that is for LAP , for business loans and enterprise loans?

Jaykumar Shah: So for Business Loans, as I covered it earlier, there has been a stabilization in Q1. There has been further slight amount of improvement in Q2 , and that is something we are very hopeful of as the book matures, we will see good amount of improvement in the coming months and we should see growth also coming back.

Shreepal Doshi: Got it. The second question was pertaining to rejection rates. So , I understand that all lenders have tightened their underwriting norms probably around 1 Q period. So are we continuing with the similar strategy or have we moderated it given that some of the segments are showing signs of stabilization on bounce rate as well as improvement? So are we moderating our underwriting norms and are we seeing rejection rates coming off, some color on that front if you could give and particularly for Enterprise Lending?

G Ramesh: Yes, so when you look at approval rates, it is really a function of product, the asset risk. So in case of a mortgage you look at the asset, you would have a measure of asset risk. There is an element of customer risk in terms of the customers ' own income and cash flows and previous financial behavior. Then you are looking at a forecast for that business. So when you when you really do an underwriting, you are looking at asset risk, you are looking at customer risk, you are looking at geography risk, you are looking at business risk, for example, which industry is the customer in. So , there would be a flavor of that in terms of the underwriting. There could be businesses that naturally lend themselves to better cash flows as compared in certain markets. I mean, if you look at India, there are pockets, for example, there will be a textile hub, there will be a manufacturing hub, there could be a retail hub , and what you are really trying to do is to marry these into your credit policy and underwrite the customer.

So in Enterprise Lending, we really do bespoke underwriting. It is not really a scorecard.

Scorecard might be initial filter, but you end up doing a bespoke underwriting because the ticket sizes are large, which means that a credit office

does a detailed evaluation. So we would fine

tune these credit policies really to a micro market or to a customer segment or to a particular

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category of customers based on our own internal experience of how things are progressing, how everything is moving. For example, what could be the impact of tariffs on certain industries . So we might decide to tighten the regulations, tighten the policy or moderate the policy. Broadly, I think our approval rates have not been very different in Enterprise Lending over the last one year.

About a year ago , we did make some changes to our underwriting policy on unsecured lending because we found that we had certain sets of customers who had higher propensity to borrow from others, because there's just a bunch of lenders who lined up and were essentially doing credit score based underwriting , and that was something that we were not comfortable with. For us, leverage is important, total exposure of the customer is important and that's the way we really

look at underwriting.

Shreepal Doshi: Got it. Thanks for the detailed answer, sir. But just to sort of conclude, have you seen 70%, 80% of our underwriting for, let's say, be it geography, customer profile centric, have you seen some moderation or are we looking at moderating it in terms of the underwriting norms or we are sort of, you know, still broadly keeping it intact?

Jaykumar Shah: So Shreepal the way we look at it is the Chief Credit Officer today, along with the data that he has, he will look at each segment, each geography in a very detailed manner and will go through that and take decisions. It's not a one size cut formula that you would go in and say, let's slice it or dice it in a simple piece of paper.

Shreepal Doshi: Got it. Thank you. Thank you for the answer.

Moderator: Thank you. Our next follow-up question comes from Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Yes. Thank you for allowing me to follow up. So just two follow-up questions that I had. First thing how should we think about margins now? The last call you had shared that 95% of our bank borrowing are EB LR linked, which will obviously reprice in line with your external or market benchmarks. Assuming they have already repriced, right?

How should we look at the cost of borrowing trajectory and the margin trajectory? Obviously, I mean, assuming status quo, while there are room for a few more research in the December and the February policy, but assuming status quo, how should the cost of borrowings and margins trend?

And lastly, on the CV side, we have discussed a lot in this call already, but I just wanted to pick your brains on one thing. When I look at CVs, there are predominantly two things which are driving CVs today, right? So, your consumption and the other thing is your construction and infrastructure activities. So while consumption might pick up given all the actions that the

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Government has taken, what is it that you are seeing on the construction and the infrastructure activities? That's all from me. Thank you.

Jaykumar Shah: Thank you. So I will take both your questions. On the margins and cost of borrowing, the way we would like everybody to look at, Abhijit, is today, I think we have taken a lot of actions over the last few months, and that's exactly what we spoke about with the confidence in the Q1 call. That has allowed us to bring margins up and reduce our cost of capital, where NIMs stand at 7.9%

For somebody like us, the way we look at it, the sweet spot is between 7.9% - 8%. While pressures may come on every side, we will work towards trying to maintain in that region. That's how I would want to look at it. That's on the margins, and obviously, cost of borrowing yields both fac

tor in that, right?

On the CV side in specific, as you rightly said, the consumption side is improving. On the construction and infra side, we are very hopeful that the initiatives that the Government is taking helps bring some of those, you know, activities back in, as we saw in previous years, and as that comes through, we should be able to see that segment also growing from here on.

Abhijit Tibrewal: Perfect. Okay. Very useful. Thank you for taking my questions, and I wish you all the best.

Jaykumar Shah: Thank you.

Moderator: Thank you. Our next follow-up question comes from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.

Shubhranshu Mishra: Hi, thanks for allowing me to follow-up. Given the fact that our asset mix has changed considerably over the last 3 years, how do we look at the asset mix in the next 3 to 5 years?

That's the first. Second one is, how do we also forecast the credit cost of each specific asset class when it is growing? Thanks.

Jaykumar Shah: Okay. So, in the asset mix, Shubhranshu, the way we look at it is the consumer business should grow faster, while the other two verticals will also continue to grow. So, what you see as 23% today should inch up a few percent over the next couple of years, right?, and the reason I say couple of percent, because the other businesses obviously would grow fast as well. Pace would differ in each one of them. So there is no set target that we have today. The most important focus for us as a company is to grow our entire diversified portfolio that we have, keep focused on every product that we believe is a long-term focus for us and continue to grow in each of our products and each of our markets. So that's a very important one that we should do and we will do.

Second piece around credit cost, at this point in time, the way we look at it is because it is a very diversified portfolio and we spoke about some of the products where, for example, LAP comes at a very minimal credit cost. There are other products, which come at a slightly higher credit

portfolio, as a whole, for the company and really focus on how are we going to manage a balanced return that we wish to give and work from there. So that's been our key focus and that's how we would even want the investor community to look at us, that the diversified portfolio helps us grow in a balanced fashion across cycles and also balance out the credit cost. While it has been a little high in the last quarter or two, we are very hopeful of bringing it to a moderate level in the coming quarters.

Shubhranshu Mishra: Thanks. Any new products you are planning to launch in the next three to four quarters to make our portfolio diversified?

Jaykumar Shah: Shubhranshu, I have been told as a listed company, as soon as I think of something and we get it approved, I have to publish it on the exchange. So, you will see it as soon as we are doing something.

Shubhranshu Mishra: Thank you so much.

Jaykumar Shah: Thank you.

Moderator: Thank you. Our next question comes from the line of Prithviraj Patil from Investec. Please go ahead.

Prithviraj Patil: Yes, thanks for the opportunity. Just one clarification that I wanted. In the product mix, you have mentioned something on the lines of relationship PL. So, I just want a clarification on what product that is, and the second is on adoption of technology. So, if we look at some of the other peers in the sector, they have adopted technology for underwriting or for sourcing. So, I just wanted to know what HDB is doing on that front?

Jaykumar Shah: Yes. Relationship PL for us is an absolute product that we have made only for our customers. It is what most people would call as cross-sell. This is a product

that is available exclusively to

HDB customers. It comes as a cross-sell to the product base that we would have in the consumer book, as well as some of the other books that we have.

So that customer, if performing over the first 6, 9, 12 months, depending on the customer profile, depending on the product they have come to us first with, we give them an opportunity to take the second loan and we work from there. It is a book we have been able to grow over the last 4 to 5 years really well with our customer base, and we are very happy with how we are functioning there and we will continue to grow well in that space. That's one.

On the technology front, there is a slide that we have put up on "HDB on-the-go," and Prithviraj, I am sure, you know, all of us today live in the financial services world, which is almost a technology company more than anything else. Technology is so akin to our blood system that if we do not have good technology, I do not think we would be able to progress very well.

So, in terms of slide number, I think it is 38 and 39, we talk about it. You can have a look and I think you can give, you know, our IR team a call and we can take you through in detail. But

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fundamentally, I think we have made sure whether it is, you know, a loan within two minutes, whether it is making sure a customer is able to finish their journey online.

We are trying to make sure that every single one of those basics that a customer expects from a company like us, we have that in our works and we are able to execute it for the customer. The most important thing is that, you know, we are the right choice for our customer and we are able to progress from here in a manner that the customer chooses us because of, you know, the technology and the service and the right fit for him or herself.

Prithviraj Patil: Sure. Yes. Thank you. Thank you.

Moderator: Thank you. Our next question comes from the line of Gautam Jain from GCJ Financial. Please go ahead.

Gautam Jain: Good evening, sir. First, in last quarter, you said your NIM will expand and that perfectly expanded in Q2. Now, can we say that, the higher credit cost which started from Q3 of last year has peaked and we will come back to the normal credit cost itself from Q3?

Second, on the growth side, again, I mean, growth will pick up from Q3. Can we assume that?

And second is your cost to income ratio has come to 40%. Historically, we had even lower than that. So what is our ideal cost to income ratio we want to achieve?

The third question would be, would you blame higher competition in the market? and because of that, the credit growth has been lower than some of the peers.

Jaykumar Shah: Thanks a lot, Gautam. So in terms of growth, as I covered it earlier, very hopeful that, we are

able to grow well in the coming quarters, and there is a lot of underlying market, how do I say, sentiment which does show that Q3 should be a lot better than Q2 and Q1. If you look at the commentary also that has come from other banks or financiers, all of us are very positive on how we see Q3 going forward. So Q3 and Q4 should augur to good amount of growth. That's the way we look at it.

In terms of cost to income ratio, if you look at on an H1 basis, we are 41.6%, and we were 42.7% earlier. As we grow and as we push on a number of initiatives, we believe between a 41.5% to a 42%, that is something fairly ideal for us as we continue on our growth journey.

The more important metric there is in terms of cost to asset. It is there in one of our slides, I can give you the slide number in a minute. I will give you a slide number in a second. So, that's something we are very focused on. It is 3.7% today, it was 3.8% earlier. And our whole focus is (on slide number 26) where we clearly reflected 3.7%, and that's something, if we are able to manage b

etween a 3.6% and a 3.7%, as we continue to invest and grow, I think it should augur well in terms of us reaching our RoA targets.

Gautam Jain: And on credit cost?

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Jaykumar Shah: On credit cost, as I mentioned, the medium -to-long term, we should be able to operate within a 2.2%.

Gautam Jain: And it will start reflecting from Q3 onwards, right?

Jaykumar Shah: Gautam, I am sure it will start to improve. If it starts reflecting from Q3 onwards, I am sure I will be as happy as you are.

Gautam Jain: I have one more question. Can I ask?

Jaykumar Shah: Sure. Go ahead.

Gautam Jain: This time your BPO profit also went up sharply Q-on-Q and Y-o-Y. So can you comment on that?

Jaykumar Shah: So we had earlier mentioned the way to look at BPO and sometimes there is obviously, billing, which will be +/- a month or accruals which get deferred. If you look at a PAT of ₹15 crores per quarter, it more or less flat lines towards that a PAT of ₹60 crores per annum is where it largely moves around +/- a few. So there's been a little bit of billing which would have moved from one quarter to another, but nothing more than that.

Gautam Jain: Okay.

Jaykumar Shah: So margins are fairly stable there. There's nothing which changes fundamentally.

Gautam Jain: Okay.

Moderator: Our next question comes from the line of Rajiv Mehta from YES Securities.

Rajiv Mehta: Hi. Thank you and thank you for taking my follow up. This Relationship PL, which is 8% of your portfolio, and you said that it's offered to existing customers. So what is the existing product overlap? Can you name the product with which it overlaps with? And what is this portfolio growth has been on Q-on-Q and Y-on-Y basis with Relationship PL?

G Ramesh: So Relationship PL is a product that is offered to only existing customers of the company. So it's a business where we offer loans to our existing individual borrowers, and the customer could have originated to us through any of the other businesses, including consumer.

If you look at our company, we have today 21 million customers, but a large proportion of them would be to our consumer finance business, right? So, as the customer matures with us and the loan tenure is towards closure, we look at multiple ways of engaging with the customer, either to follow up products or -- the advantage of Relationship PL is because unsecured loan, it can be used for multiple use cases by the customer, right?

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So the customer will have a pre-approved limit either for purchasing a consumer durable, if you take a consumer finance case, he could have a pre-approved limit for buying a consumer durable, he could have a pre-approved limit for buying a two wheeler or he could have a pre-approved limit for a unsecured personal, right?

So these will be different limits based on what product the customer looking to buy, because the tenures are different, the transaction sizes are different. We engage with the customers on a continuous basis either through our in-app notifications or through our outreach programs to the customers. That is how we engage and build this book. Any color in terms of growth that you

want to give , Jay?

Jaykumar Shah: So it is a focus business for us, Rajiv, and something we will continue to grow over a period of time. If you look at the same product four years ago, I think, we would have almost grown up CAGR of 40% plus over a period of time. So we are very focused on the consumer segment as a whole, as I mentioned, and that's something which we will continue to grow.

Rajiv Mehta: And would it also have CV and CE customers as well here in the in the in the customer base of this, this R ePL product?

G Ramesh: Yes. There would be customers.

Jaykumar Shah: There would be. But if you would like to th

ink about it in terms of the customer base, right?

Rajiv Mehta: Yes.

Jaykumar Shah: It would obviously be a slightly smaller customer base. So if you have a 1 million customers in consumer durables, you might have 10,000 /20,000 customers in CV and CE. So the number of people to whom you would cross-sell obviously would be there as a percentage of that customer base, but absolute number of people would be lesser.

Rajiv Mehta: Okay. Okay. Now, second thing is on the cost levers and cost dynamics. Now that we are in a very moderate growth environment and we are also constantly checking on growth, right? What are the cost levers or dynamics available to us to manage the pre-provision operating profitability? Are there anything more that we can do on the cost efficiency side or productivity side which will help us control the people?

Jaykumar Shah: So at this point in time, Rajiv, the way I would look at it is on the cost front, we believe we are fine. I think this quarter, as there was slightly lower growth, we have made sure we managed to moderate some of the cost as well, and we would continue to do that. So, I do not see that as the biggest worry.

Our key focus is to our businesses, let's invest, let's focus on the long term in terms of how we build on this as a growth area, right? The most important focus, if you think about from a long-term point of view is, how well do you invest so that you achieve your medium-term growth targets and also achieve your ROA as a whole, yes. That's how we look at it.

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Moderator: Thank you. Ladies and gentlemen, we are at the end of the time. I now hand the conference over to Mr. Jaykumar Shah for closing comments.

Jaykumar Shah: Thank you very much, Sagar. So from everyone here at HDB, wishing you all a very, very happy Diwali, a prosperous new year, and a year full of good health and happiness. All the very best, and may your families do well as well. Thank you so much.

Moderator: Thank you. On behalf of HDB Financial Services, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy

## Call: Jan 2026

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HDB/SLC/2026/1435

January 20, 2026

To,  
Listing Compliance Department  
National Stock Exchange of India Limited  
Exchange Plaza, Plot No C/1, Block G,  
Bandra-Kurla Complex, Bandra (East),  
Mumbai - 400051

Scrip Code: HDBFS To,  
Listing Compliance Department  
BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort,  
Mumbai - 400001

Scrip Code: 544429

Sub.: Transcript of Earnings Call for the quarter ended December 31, 2025

Dear Sir / Madam,

In continuation to our letter dated January 14, 2026, we wish to inform you that pursuant to Regulation 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call with analysts and investors held on January 14, 2026, in relation to the Unaudited Standalone Financial Results of the Company for the quarter and nine-months ended December 31, 2025, has been made available on the website of the Company at the below link:

<https://www.hdbfs.com/investors>

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thanking you,

For HDB Financial Services Limited

Dipti Jayesh Khandelwal  
Company Secretary and Compliance Officer  
Membership No. F11340

Encl.: As above  
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HDB Financial Services Limited  
Q3 FY26 Earnings Conference Call Transcript

For the Earnings Call held on January 14, 2026 , 18:30hrs IST

MANAGEMENT : MR. G RAMESH – MD & CEO  
MR. JAYKUMAR SHAH – CFO

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January 14, 2026  
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Disclaimer: Certain statements in this release are forward looking in nature , which involve a number of risks, and uncertainties that could cause our actual results to differ materially from those in such forward -looking statements. HDB Financial Services Limited (HDB FS) does not undertake to update any forward -looking statement that may be made from time to time by us or on our behalf.

Moderator : Ladies and gentlemen, good day and welcome to the Q3FY26 Earnings Conference Call hosted by HDB Financial Services. Please note, this conference call is only for analysts and investors and not for media. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' and the n '0' on your touchtone phone.

I now hand the conference over to Mr. Jay kumar Shah, CFO of HDB Financial Services. Thank you and over to you, Mr. Jay kumar.

Jaykumar Shah: Thank you so much, Sagar. Good evening to all of you. I welcome you all to the Q3 FY26 earnings call of HDB Financial Services Limited. We have with us our MD and CEO, Mr. G. Ramesh, along with myself and the senior management team of the company.

I hope all of you would have had a chance to produce our financial results, the investor presentation and press release which has been filed with the stock exchange earlier this evening and also available on our website [www.hdbfs.com](http://www.hdbfs.com).

We will start with management remarks and then open up the call for Q&A. The audio recording of this call will also be available on our website shortly after the call ends.

I would now request our MD and CEO, Mr. G. Ramesh, for his opening remarks, following which I will provide a brief on the financial results and then answer Q&A.

G. Ramesh: Thank you, Jay kumar and a very good evening to all of you joining in and wish you a Happy New Year 2026 and greetings of the harvest festival.

Briefly on the macros , consumption growth remains strong during the festive season and positive for the quarter. Broad -based set of measures in fiscal and monetary policy, supported by expected good winter harvest, bodes well for the domestic demand. Real GDP growth showed resilience amidst global headwinds, even as inflation stayed benign in the festive season. Global uncertainties around geopolitical tensions and trade remain a key monitor able.

Coming to quarterly business updates

At an organizational level , our mission is to serve aspirational India and we now have a franchise of over 22 million customers and a pan -India network of 1 ,744 branches spread across 1 ,165 towns and cities.

Disbursement for Q3, which is the October to December period, clocked in at an all -time high of ₹17,917 crores. It grew by 15% Q-o-Q, led by the Consumer Finance segment followed by the asset -backed businesses. Book growth came in at 2.8% in the same period.

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Our yield improved on the back of our efforts at balancing product mix through focused origination. NIM for the quarter increased to 8.1%.

As you may know , there have been a set of notifications on new labour codes that did impact our provisions in terms of gratuity and other things , CFO will talk in more detail. So, adjusted for that one -time impact which we have taken in Q3 , opex continued to be within the expected range.

Our asset quality at stage 1 has improved to 95.22%. Our reported PAT for Q3 grew by 36% Y-

o-Y. Excluding the impact of the new labour code, which is a one-time provision that we made in Q3, our PAT grew by 45%, if you look at comparable numbers.

Coming to segment-wise commentary

On Enterprise lending : LAP and Enterprise Business Loan which is a variation

on of our LAP

product, grew moderately in Q3. Gold loans book grew by 17.8% Q-o-Q.

Portfolio quality on unsecured business, which we had called out a couple of quarters back, has stabilized. As asset quality pressure eases further, we expect to return to a growth trajectory in the coming quarters.

On Asset Finance : CV and CE book showed moderate growth in Q3. Asset quality challenges that we had called out in H1 showed signs of improvement in Q3 in the early buckets.

We anticipate further positive momentum in both the businesses on the back of infrastructure push and improving rural economy.

On Consumer Finance: Book for this segment grew by 17.3% Q-o-Q. This was led by Auto, 2-wheeler and Consumer Durables. Festive season surge, pent-up demand and market response to GST cuts fuelled growth. We expect momentum to continue in the segment going forward.

Jaykumar, would you like to update on the financials?

Jaykumar Shah: Thank you, Ramesh.

Moving on to the financial performance for the quarter,

■ Customer franchise grew to 22 million, which is an increase of 4.8% sequentially and 19.3% Y-o-Y

■ The total gross loan book, as on December 31, 2025, stood at ₹1,14,577 crores, growing 2.8% sequentially and 12.2% Y-o-Y. Secured loans of the total amount consisted of 74%

■ Disbursements for the quarter ended December 31, 2025, for ₹17,917 crores, up 14.9% sequentially, an all-time high for the franchise

■ Branch count stood at 1,744 spread across 1,165 cities and towns

■ Net interest income for the quarter was ₹2,285 crores, an increase of 4.2% Q-o-Q and 22.1% Y-o-Y

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■ Net interest margin, NIM, for Q3FY26 improved to 8.09% vs. 7.95% for Q2FY26 and 7.46% in Q3FY25

Moving on to expenses, I'll just elaborate little bit on the labour code. Effective November 21, 2025, the Government of India notified the four labour codes – the Code of Wages 2019, Industrial Relations Code 2020, the Code of Social Security 2020, and the Occupational Safety, Health and Working Conditions Code 2020, collectively referred to as the 'New Labour Codes', consolidating 29 existing labour laws. The Ministry of Labour and Employment has published draft Central Rules and FAQ on December 30, 2025, to facilitate assessment of the financial impact arising from these regulatory changes. Under IND-AS 19, which is our accounting standards that we follow, changes to Employee Benefit Plans arising from the new labour codes constitute plan amendments and they are required to be treated as past service costs and recognized as an expense in the Statement of Profit and Loss. Accordingly, the new labour codes have resulted in an estimated increase in provision for Employee Benefit Expenses of ₹60.52 crores and the same has been recognized under the head Employee Benefit Expenses in the quarter and the nine months ended December 31, 2025. The company continues to monitor the finalization of Central/State Rules and clarifications from the Government on other aspects of the labour code and would provide appropriate accounting treatment on the basis of such developments as needed in the coming quarters.

Of the overall impact of ₹61 crores – ₹56 crores pertains to the lending business. The P&L ratios that we call out for the lending business, I will be calling them out after excluding this one-time impact of ₹56 crores to make sure they are comparable.

■ Cost-to-income ratio for our lending business reduced to 39.5% in Q3FY26 as compared to 40.7% in Q2FY26 and 42.5% in Q3FY25. The ratio was 40.9% for the nine months ended December 31, 2025 as compared to 42.8% for the nine months ended December 31, 2024. Cost-to-asset excluding the one-time impact was flat at 3.7%

■ Pre-Provisioning Operating Profit for the quarter was ₹1,611 crores as against ₹1,502 crores for the prior quarter

■ Credit cost for the quarter was

■ ₹712 crores as compared to ₹748 crores for the prior quarter

■ Reported profit after tax for the quarter ended December 31, 2025 was ₹644 crores as

compared to ₹581 crores for the prior quarter. Excluding the one-time impact on account of the new labour codes, profit after tax for the quarter ended December 31, 2025 was ₹686 crores, a growth of 18% Q-o-Q

■ Gross Stage 3 as at December 31, 2025 was 2.81%, similar to the number that we had as at September 30, 2025

■ Provision for coverage as on December 31, 2025 for Stage 3 stood at 55.59%

■ RoA (annualized) for the quarter ended December 31, 2025 stood at 2.35% and for the nine months was at 2.15%

■ RoE (annualized) for the quarter ended December 31, 2025 stood at 13.99%

■ Earnings per share for the quarter was ₹7.8 and book value per share stood at ₹239.0

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■ Our borrowing mix remains well diversified with a positive cumulative mismatch across all buckets up to five years

■ We remain well capitalized with a total capital adequacy of 21.81% as at December 31, 2025.

This ends my detailed update on the financials. We now request Sagar to open up the queue for questions. Thank you.

Moderator: Our first question comes from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal : Good evening, sir. Thank you for taking my questions. So just two things. First thing is during your opening remarks, you spoke about weakness in CV and CE that we have been seeing for the last few quarters getting better in the second half. So if you could just elaborate on that and also the fact that MSME was showing us some pain, the unsecured MSME in particular. So where is it trending now? Because I see that the enterprise segment is still kind of trending a little weak.

And then the second question I had was on Vehicle Finance. I see that Asset Finance disbursements have grown by about 4% Y-o-Y. So if you could just split this up into what was the volume and the value growth?

And lastly, now that the festive season and the GST cuts are behind, if you could just help us understand which segments have seen the demand momentum continue in December and January? And which all segments are you seeing that the demand has already started tapering off? Basically, whatever pent-up demand or bump in the demand that we saw after the GST rate cut. Those were the few questions I had. Thank you.

Jaykumar Shah: I'll try and address them, Abhijit. So first one being weakness in CV and CE. So this was something that Ramesh mentioned at the beginning. That is something we called out in Q1 and Q2. And we had mentioned that we expect it to stabilize in the current quarter, which is Q3 and we have actually seen that. So it's a part of two stages, kind of two stories. One is on the 90+, where we have seen it stabilize. There is some more work to be done, where we bring that down further. And that's one of the reasons why you see the Gross Stage 3 at 2.8%. What has been very positive in the current quarter is that we have managed to pull back from the delinquent book into Stage 1, and our 0 DPDs across all products actually inching up in a good way. So that's been the positive side for us.

With the unsecured SME pain that was there for the last five to six quarters, if I can put it that way, that has clearly started easing off. The book, as you would have seen in the investor deck, has actually reduced slightly by almost 1%. But there, the health of the book has actually improved. So we're seeing it very positively. We need to start pushing hard into that space and growing from here on. It will take some time as we've taken five – six quarters to really make sure a lot of things fall in place. In a couple of quarters, we should see growth come back on that.

In terms of vehicle financing value vs average ticket size, as you put it, there has

been a slight

reduction in the ticket size of approximately 5%, if I can put it that way. And the balance has

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really been growth on the business front. And October especially, if I could call out in specific as the festive season, really covered up for a lot of September gaps and then it has been positive since. So we expect that to range in the positive territory and grow from here on.

Moderator: Thank you. Our next question comes from the line of Viral Shah from IIFL Capital. Please go ahead.

Viral Shah : Yeah, hi. Thanks for the opportunity. I have two questions. One is on the growth front, if you can help us understand, while I think disbursement growth has started showing signs of pickup, of course, festive season, some bit of offset on the ticket size front, but book growth is still, I

would say, a bit softer. So what could be the horizon over which we intend to kind of reach, say, an 18 % to 20% kind of book growth or medium term target, which is there? And the second question is with regards to the opex . What is the, I would say, the BAU impact of the labour code? I understand there is a one-time impact of the historical provisioning. But on a BAU basis, what would be the kind of impact of it? Is it material at all? Those are my two questions.

Jaykumar Shah: So on the disbursement to book, the way I would look at it, Viral, is that look at it in the context of how we've grown, right? So we've actually grown 15% Q-o-Q on disbursements, and that's the most positive thing. On the book, the way it ranges is as you've seen, we've held on to our yields. And as we've held on to our yields in certain businesses, prepayments also happen. Plus, the whole pullback that we've done in terms of recoveries, which has been very positive on the stage 2 book, right, or the stage 1+ book, that has also gone into this calculation. So the way I look at it is we're fairly confident in terms of how we'd grow from here on.

In terms of 18 % to 20%, the way we've always looked at it, Viral, is the nominal GDP plus 6 to 7. And overall, the thought process does not change. We believe growth will start kicking in from here on, and it should be in more positive range from where we stand today. Second one ...

Viral Shah: Just on this follow up on the growth piece that you mentioned on the nominal front, do you think with the competitive intensity likely to increase with many players receiving growth, a significant growth funding in the form of equity, does that change any of this, the competitive scenario on the growth front as well? From a medium term perspective?

Jaykumar Shah: I don't think so. At this point in time, we believe the market is there for us to grow for the next coming 3 to 5 years for sure, if not the next 10 to 15 years. On your second question on opex and BAU impact of the labour code, the way I would see is that, as I mentioned, it's a developing area. From what we were aware of based on the draft rules, what information we've had, we've taken a provision as of now. Let this space develop over the coming months. And let us get finality. Then it would be better for us to comment on this.

Viral Shah: Got it, sir. Thank you.

Jaykumar Shah: Thank you.

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Moderator: Thank you. Your next question comes from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe : I was just looking at your cost of borrowings, and that's almost flat on a sequential basis. So if you could give some colour in terms of where are we placed in terms of repricing or do we expect this kind of ratio to remain at these levels going forward? And in that backdrop, how do we really think about margins? I know you commented on the competition part, but maybe if you could give some colour in terms of how do you expect the near-term product

mix to sort of

change your yields and trajectory on cost of borrowings?

Jaykumar Shah: Yeah. So let me address the cost of borrowings first, Nischint . On the cost of borrowing side, as I had mentioned, I think in the last call, we were largely done with maximum of the repricing.

What we have looked at is I think the cost of borrowing is reduced by 2 to 3 bps approximately on the whole. And what we've been continuously doing is making sure we look at the right products within the basket, whether it is NCDs, whether it is term loans, to make sure we borrow on a product that we are able to sustain the current borrowing cost. The way we look at it is we believe that the current borrowing cost should sustain at least for the coming few quarters. Obviously, there's a lot more at play outside of HDB, which affects the overall bond yields and the market. So we'll have to watch that space closely. But for the coming at least couple of quarters, we expect to be in that range. And if opportunities lend or opportunities come our way, then we should be able to improve it by a few bps as well.

On the yield side, as I had mentioned in the last call, we expect the NIM to range generally in the 7.9 to 8. It is 8.09 currently. As we go into Q4 and the overall markets are there, there is pressure obviously on yields across products. We've done well as a business to hold on to our yields. We expect again that to be range bound at least for the coming few quarters in the range of 5 to 10 bps, not a lot more variance from there. So we should be able to hold on to our NIMs in the region of 8 as we had mentioned.

Nischint Chawathe: Got it. And anything to read in the decline in gross stage 2 loans?

Jaykumar Shah: As I said, it was positive. It's been good recovery, be it Enterprise Lending, be it Asset Finance, be it Consumer Finance. I think across the board, the strategies that the teams put in have started to show. I wouldn't say hope would be the wrong word. I think it's the confidence that the teams are driving into the market of going and doing positive recoveries and making sure the flow forward is reduced. The key for our business really in retail is to make sure flow forward is reduced. And that's been the key focus of how we are going about things. So that's a big positive for how we look at the business and plan for the future.

Nischint Chawathe: Thank you. Those were my questions , and all the best.

Jaykumar Shah: Thank you so much.

Moderator: Thank you. Your next question comes from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer : Yes, sorry. I had logged out of the queue. My questions have been answered. Thank you.

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Moderator: Thank you. Your next question comes from the line of Shreya Shivani from Nomura. Please go ahead.

Shreya Shivani: Yeah, hi. Thank you for the opportunity. I have two questions. First is a follow up on the reduction in ticket size in the vehicle book that you spoke about of about 5%. So I just want to understand some reduction would be there because the GST cut and the price of the vehicle is lesser, so the loan size is lesser, etc. But have you seen the de-premiumisation of cars? So in a sense that after GST cut, have you seen more sales of the entry level cars versus what was happening earlier? Or any other colour around what has happened in the sales of the car segment?

And my second is on the net slippages. So the trend, past two quarters were elevated. The trend is quite a significant improvement in this quarter. But whatever is still slipping, I think, would it be majority CV /CE/MSME? Is there some colour you give around what book continues to slip at a slightly elevated rate versus the company average?

G. Ramesh: Right. Shreya, so when you look at the entire GST and look at our business, there are primarily two areas where the GST

cut has had a significant impact. One is the auto loans business and second is the 2-wheeler loans business. Construction equipment is always at 18% GST, mobile phones and entry level consumer durables are always at 18% GST. High-end televisions, which were at a higher GST rate, have come down to 18%.

So the bulk of our business really has had no impact on because GST rate cut, other than the fact that it's driven positive sentiment in the market. So within 2-wheelers and auto loans, we have seen about a 5% reduction in our average ticket size because the vehicle prices itself have come down. Also, I think a couple of manufacturers have cut prices of some of the entry level vehicles that they're selling as a festive offer. So that's also driven sales in the entry level segments. So I won't call it de-premiumisation, which would suggest that a customer could afford to buy something more and has actually bought something cheaper. In fact, we are running a campaign called "Do Se Bhale Chaar" – basically to say that, why buy a 2-wheeler when you can buy a car? In fact, some of the cars are priced at the same level as seven years ago in some of the entry level segments. So I think it's a lot more customers who have now found that the product is affordable. There's no de-premiumisation in our view. In fact, in consumer durable segment, where other than high-end televisions, there's no impact of GST, we're not seeing a reduction in ticket size.

Jaykumar Shah: On the net slippages, Shreya, you're right. A large part of it has just been in the CV /CE segment. Outside of that, slippages have come down. And that's very positive, as I mentioned. We should hopefully see slippages in these two products also start to become lower.

Shreya Shivani: So just to follow up on the CV /CE, there was some cyclones down south. Do these events have some lagging / have some problems or do they create some issues for you all?

G. Ramesh: So typically, Q2 as a season is slow because of monsoon. So deployment of assets comes down.

So let's say a vehicle runs 200 kilometres a day for 20 days. During monsoon, that number might come down about 150, 160, because vehicles run slower when it's raining a lot. But specific

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events, specifically, I don't think there's been any impact of cyclone in the south that we can attribute to our portfolio.

Shreya Shivani: Sure. Thank you. This is very useful. All the best. Thank you.

G. Ramesh: Thank you.

Moderator: Thank you. The next question comes from the line of Prithviraj Patil from Investec. Please go ahead.

Prithviraj Patil: So I had two questions. So the first one was on the strong fee income growth that we've seen on the book. So if you could just throw some clarity on why that has happened. And then the second is that the branch count has reduced Q-o-Q. So will this impact growth going forward or how are we looking at that? Thanks.

G. Ramesh: Yeah. So fee income is primarily driven by the product mix and with the 15% disbursement growth and the product mix, there's been an increase in fee income. So in terms of branch count, there are branches that we will sort of review at the end of some time to see whether they are viable, whether they met their milestones that we set out for them. So there'll be branches that

we relocate. So given that, given the nature of our business and given our processes, it's quite, we can take these decisions quite quickly. So if a branch is not doing well, we can shut it and move on, or we relocate the branch. There are also cases where we increase the branch sizes, right, based on the business volume, which really don't come in the numbers count. What I think essentially on making sure that we are servicing a large part of the country. So in terms of the pin code coverage, how many pin codes are we covering effectively? Can we cover

the branches or a larger geography around the branch effectively without, you know, without compromising our credit policies. So, you know, don't read too much into the number of branches per se, it will always be here 5 or 10. There'll be some small branches that we started off a year ago, hasn't met the milestone, either we're not comfortable with the credit quality of the market, or we overestimated the potential of the market, or, you know, factors are not exactly supporting growth. We would just relocate the branch and, you know, focus our efforts on branches that are doing well.

Prithviraj Patil: Thank you. Just a follow up question, if you could give clarity on the ARC transaction as well, if you can tell what book have we sold off to the ARCs? And do we see any incremental sell off happening to ARCs in the coming quarters?

Jaykumar Shah: Yeah, so what we do generally is we only look at, you know, very dated write off portfolios, right? Where, say, let's take an example where you have very small, smaller ticket, relatively smaller ticket LAP book or CD book, where our ability or the cost that we would potentially incur to recover that money over a long period of time is X, and we believe today, you know, what we would recover is what we can get back in cash from the ARC transaction, we look at that as a value transaction, and we go and complete that. And that's exactly what we've done, you know, for a small piece of the NPA portfolio that you've seen in the disclosure. You know, that is what we've done. So it's a small piece, we always look at, you know, cost benefit analysis and everything that we do, to make sure we free up resources for better deployment in future.

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Prithviraj Patil: Sure, thanks. Thank you.

Moderator: Thank you. Your next question comes from the line of Bhaskar Basu from Jefferies. Please go ahead.

Bhaskar Basu: Yes, good evening. I had a couple of questions. Firstly, on the vehicle side. So this 4% disbursement growth, if you can kind of give some color around how much was the drag from a price deflation there. And secondly, when I look at the book, CV new seems to have grown sequentially by about 4%, while used CVs actually shrunk on a sequential basis. So is there anything playing out there? These are the two questions on the CV side.

And my last question is basically on the Business Loan front, where so far you've tightened filters, and how far are you when you think you can start pushing growth again? That's all from my side.

Jaykumar Shah: So, Bhaskar, I'll cover it and if I missed something, I think there's a little bit of crack in the beginning. So I'll cover the questions. And if I miss something, please jump in. So, on the CV side, as you would have, you know, observed the whole market-wide, I think the reason why new is higher this quarter is primarily on account of the whole festive season, right? Festive sales were absolutely bumper. And I think that just took off completely on CV new. Obviously, in the festive CV used was a less sought after product, if I can put it that way. And plus, even the pricing clarity wasn't there for almost, you know, a couple of weeks or a month in the beginning. So I think that's the primary reason. Our overall objective over a period of time that we've quoted in the public domain that we would like to be more, you know, pushing towards 'used' to get to a 50-50 over the next 3 to 4 years does not change. In a particular quarter like this, or you know, when you look at March and generally, there's more of new sales push that comes. So, that's how I look at it. If you look at it on a 9-month level, it's more balanced. On a quarter wise, of course, as you rightly put, CV new has grown and CV used is slightly lower, but nothing more to read beyond the festive and the GST and you know, clarity on pricing, etc.

That's on CV.

On the Business Loan front, I think if you ask me on the credit side of it, quality, i.e. book health, I think they're good. The way we read into this is now we've got to push hard on the current parameters and grow our book. And that's something we're very focused on. But as we push in the same way across the country, it will take a couple of quarters in terms of moving that into positive territory and getting into growth. Obviously, there's a runoff that happens on the current book. As we push the new book in, the trend to reverse might take some time. But, you know, in terms of wanting to push and intent and credit being there available for us, all of those are there.

Bhaskar Basu: Okay. Just two follow ups there. One was a question which I'd asked actually, on the

disbursement side in CVs . How much was the drag from price deflation? Like you reported about 4% disbursement growth. Had it not been for the price, what would this be? Just a ballpark kind of sense. And secondly, just on the Business Loan, at this point of time, at a broader industry level, are you seeing unsecured business loan stress starting to kind of abate or stabilize, which will give you comfort to push the growth again?

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Jaykumar Shah: I'll answer the second one first. Let me wait for the next 1 month to see how/what everybody says. I think it won't be fair on my part to comment on the whole industry. I haven't seen everybody's numbers.

Bhaskar Basu: Okay, okay.

Jaykumar Shah: On the price deflation side, I think it'd be fair to say it has been, you know, fairly small at this point in time for the quarter. We'll see how that goes. Yeah.

Bhaskar Basu: Okay. Thanks a lot. That's all from my side.

Jaykumar Shah: Thank you.

Moderator: Thank you. Your next question comes from the line of Raghav from Ambit Capital. Please go ahead.

Raghav: Sir, hi. Good evening and thanks for the opportunity. I have two questions. One, on your cost of borrowings. So given the INR depreciation that has happened, and I think your exposure to ECBs is about 11% . Did you see your cost of foreign borrowing go up during this quarter? Because despite the rate cuts coming through even in 3Q, the calculated cost of funds hasn't moved really . So that's my first question.

Jaykumar Shah: So on cost of borrowing, our entire ECB book is fully hedged. So there is zero impact. We treat it as a fixed product kind of a thing. As I mentioned earlier, there has been a slight reduction of a few bps. There are certain borrowings that obviously come in at current pricing or slightly higher as well. I'm sure all of you are very clued on to the market where rates have also hardened. While there was a rate cut which happened in December, that hasn't really translated much into lower cost of borrowing in most instances. In fact, the bond yields have only hardened at this point in time. That said, we continuously look at our entire borrowing book and work closely with all our partners to make sure it is the right base and the right pricing on a monthly basis.

Raghav: Okay. So, you know, even at the margin, the foreign borrowing – the cost of foreign borrowing remains attractive versus say the domestic borrowing. Is that a fair assumption or not?

Jaykumar Shah: So, if you ask me as at yesterday, there's a large newspaper article that got printed. Whoever has got money in 7.28, obviously it's attractive. But outside of that window that the RBI gave, it's a little pricey from at least the way we look at it at this point in time.

Raghav: Thank you. My second question is on the CV Finance business. I see that your disbursement growth in this business is about 4%. I'm assuming that's after the 5% decline in average value of the Vehicle Finance. But when I look at the volume growth for the industry, right, commercial vehicle retail sales

have been up 17% during the quarter. If I adjust that number by the same factor, say 5 %-6% decline in value, I am assuming that the disbursement growth for the CV industry would have been, for all financiers collectively, would have been higher than the 4% for you? So is that the correct way to look at your disbursement number and is that comparison correct? I'm just trying to understand the comparative intensity in the Commercial Vehicle finance segment. So your thoughts will be useful here.

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Jaykumar Shah: Yeah. So again, just making sure we're both on the same page. You're seeing the book number grow. Book obviously has a much larger base to it , right, Raghav? Our disbursements grew at a much faster pace, right, Q-o-Q. In fact, it's one of the higher ends of growth in terms of double - digit percentage. That effect coming onto the book is obviously comes over a period of time , because to give you an example, if you were to disburse a number of 3,000 , right, on a book of 30,000, that impact is 10% of that , right . So I don't think both the statements that you made are directly correlated. Obviously, there is a piece that comes through with disbursement growth, book will grow. In terms of the industry, I believe we're pretty much in there. There are certain segments that we may not have operated in more because we don't feel it drives value for us from a yield perspective. But outside of that, I think we're fairly in the zone with the larger industry.

Raghav: No, so I think my question was on the disbursement growth itself, which is, I think, 4% Y -o-Y. And then even when I look at it on a Q-o-Q basis, that's I think 15%, but let me take this question from you offline.

Jaykumar Shah: Sure.

Raghav : And can I ask one more question?

Jaykumar Shah: Sure.

Raghav : So just your thoughts, some qualitative commentary on the asset quality in C V Finance segment.

What are you seeing in terms of customers' ability to repay , fleet utilization, maybe if you can share some numbers around collection efficiencies on the CV portfolio, that'll be very helpful?

That's all from my side. Thank you.

Jaykumar Shah: Thanks, Raghav . So I'll give you a broader statement. We don't put out specific product -wise numbers. But on the broader side, as I mentioned at the beginning there are two sides to it for us. One is the 90 +/120+ book, which has remained in that similar zone and needs to be brought down. Second is the 90 minus if I can put it or the 1-90 book , where the efforts that were taken during the quarter, we were able to recover well . And second we've improved our 0 DPD by making sure delinquencies also reduce in the first instance. So the X bucket has helped. Overall, if I were to look at collection efficiencies or slippages, slippages have reduced a little bit from Q2 to Q3. They stay at slightly elevated levels, which is where we want to really curb it down. So recoveries have improved. We believe as we go through the coming quarter and the next two quarters, we should be in a position to bring the book even more healthier from where it stands today, more towards a Q1 or a Q4 past, in terms of that line. That's at least the aim that we're working towards.

Raghav : Thank you.

Moderator: Thank you. Our next question comes from the line of Avinash Singh from Emkay Global Financial Services. Please go ahead.

Avinash Singh: Hi, thanks. So a couple of questions. The first one on your comment around margins, that it's around 8.1% towards the higher end of your sort of guidance and you are preferring margin.

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Does that mean over the coming quarters, I mean this sort of margin will lead to a subpar or relatively lower growth than what you would have otherwise kind of thought like 18% - 20% range. Will this focus on margin

be leading to sort of a – margin -growth conundrum, you being on the lower side in growth? That's one.

And second, if sort of we were to look maybe for next financial year, given where the sort of your margins are probably topping already of the guided range, what sort of the improvement in credit cost depending upon the current rates you're seeing , that will help the ROA. I mean, because on the margin side, there's very little lever left. So what kind of a credit cost improvement do you expect in the next year? Thanks.

Jaykumar Shah: Thanks, Avinash. So two things. I don't think the margin piece impacts growth directly. Sorry, it does impact, but it doesn't in the sense that we believe we're in the right zone as far as our product mix goes. Plus, if you observe an important factor and thank you for the question, our secured book has actually gone up 50 bps from last quarter itself and almost 90 bps plus in the last two quarters. As the unsecured comes back, which is what we're focusing on, which is two segments for us, which is Relationship Personal Loans and the unsecured Business Loans. We believe that will also help us on the top line. That's one. Now, if that consistently comes through and rates remain as they are and they don't harden, we should be able to operate at a healthier margin. That's one .

Secondly, in terms of helping on the ROA, you're right. With a stable book, our cost to income also we have managed it in a manner, sorry managed would be the wrong word , we've actually made sure we've taken efforts for it to come into the right zone of less than 40%. As the book grows, we should be able to pull back from a 3.7% to a slightly lower. Second important factor is the credit cost. Today, it is at around 2.5% and the endeavour is to move it towards what we had in the prior quarters and shave off some of a few bps from there. We'll see as we go along. The one thing I would want to leave with everybody that we're very committed to bringing that down and rather than give a number in specific, the focus is really to see how much can we do over the next coming quarters, which can stay in a consistent manner.

Avinash Singh: Yes. Thank you.

Moderator: Thank you. Your next question comes from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes. Hi, thanks for taking the question. So, a couple of ones. So, in terms of the average ticket size, when we look at it, in fact it's still going up compared to where we were in 2Q, particularly on Autos as well as 2-wheelers. So, maybe from 433, it's going up by a percent and 2-wheelers is going up by almost like 3%, 4% compared to where we were in 2Q. So, this is despite maybe the price cuts, which would have been there because of GST. So, how should we look at it? Maybe is it like a premiumisation or focus on a higher ticket vehicle, which is leading to a higher ATS?

Jaykumar Shah: The way I would look at it, Kunal, is I mean, it's a small number just now. The GST cuts have

the two wheeler side. I think that's an important one. And you've got to look at it in that perspective. Second is, if you look at our new business, as I mentioned earlier because of the festive actually grew more and whenever the new grows more, naturally you will have a higher ATS.

Kunal Shah: ATS is on account of new.

Jaykumar Shah: Yes.

Kunal Shah: Got it. And fair to assume that on the commercial vehicle side, there wouldn't have been an impact of GST even on the disbursement side in terms of the – maybe the price cuts or maybe the overall, it's purely the volume linked which would be there on the commercial side?

G. Ramesh : Yes, that's right.

Kunal Shah: Okay. Got it. And just on overall credit costs. So maybe just in the prior q

uestion you indicate

that you would want to shave it off, say a few basis points. But ideally, when we look at it this kind of a trend both on the Commercial Vehicle as well as on the MSME stabilizing, when should we ideally see it coming off and getting to maybe a steady state level? Would it be like another two, three quarters from here on or would it take slightly longer? How should we look at it? Obviously, there has been an improvement during the quarter. But in terms of the trajectory, should we see something similar for another two /three quarters or it stabilizes over here now?

Jaykumar Shah: The way we would want to look at it Kunal is that it stabilizes and improves quarter -on-quarter. Let's see, depending on the overall macro and the markets, how much can we improve on a quarter -on-quarter basis.

See, the longer term, we'd like to operate, at least 10 to 15 bps or at least 20 bps lower than where we are today. Overall, that is where we would want to operate in the longer term. And in the medium term, try and get there faster than slower.

Kunal Shah: Okay, got it. Perfect. That helps. Thank you.

Moderator: Thank you. Our next question comes from the line of Jay from NBIE. Please go ahead.

Jay: Hi, sir. Good evening. Congrats on a good set of numbers. Sir, I have a question on term loans. Could you specify the split between EBLR and MCLR borrowing?

Jaykumar Shah: So we have a very small book on MCLR. Most of our bank borrowing on term loans is all EBLR based.

Jay: Okay. And what would be the share of HDFC Bank on term loans? Are we getting any support from the HDFC Bank on this side?

Jaykumar Shah: We borrow from HDFC Bank like any other large bank. We borrow 100% on, deeply scrutinized related party terms. There is absolutely no preference on either sides. That's the way I would put it. So it's very commercial terms. And it's not that, HDFC Bank puts in a lot more or a lot less. It's very, very transparent in the market that we operate.

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Jay: Okay. Thank you. And so as we, as highlighted by the participants previously, could you just throw some light on how are the collections going on the CV side? Are you, are you seeing any green shoots there or is the pain still continues?

Jaykumar Shah: So I think Jay, I covered that already, happy to catch up later. Thanks.

Jay: Yeah. Thank you.

Moderator: Thank you. Your next question comes from the line of Sucrit D . Patil from Eyesight Fintrade Pvt Ltd . Please go ahead.

Sucrit D . Patil: Yeah. I have two questions. My first question is to Mr. Ramesh. As India's NBFC sector evolves with rising retail credit demand, Fintech partnerships and regulatory oversight, what structural shifts do you see shaping the company's competition over the next 2 to 3 years? Specifically, how are you preparing to differentiate beyond balance sheet growth, whether through digital first lending or customer lifecycle management or any risk analytics? Yes, I would like to hear a view on this? This is my first question. I'll ask my second question after this.

G. Ramesh: Okay. So, glad you asked me that question. I've been in the consumer lending industry for about 30 years now, which is pretty much the age of the consumer lending industry in India. I've worked in the consumer lending industry when there were no credit bureaus. So, in this industry, technology change is a given. It is not a one -off event. So that's something that we invest for continuously. So there's no end game as far as technology is concerned because technology itself is a moving train, right? And that's something that we need to adapt to on a continuous basis. We need to adapt to customer requirements on a continuous basis. And we need to adapt to our own business model on a continuous basis.

I think our business philosophy has been to address aspirational India, which i

s a very clear

segment that we identified as a growth driver for India and for our business. And our company has been focused on understanding what is it that this customer needs through his or her lifecycle? And how do we address those needs effectively? So, which is why, over the last 15 years, we have, you know, developed a large product suite which addresses any need that the customer may have. And that's our whole product development philosophy is that how do we deliver customer needs profitably? So we don't have a hero product in the company which says that, oh, this will acquire the customer and then try to sell another product. For us, a customer irrespective of the product he or she comes through is a hero.

We try and understand what is it that we can do effectively through their life cycle in terms of their own aspirations as individuals and as businesses, and how can we service that requirement effectively.

So whether it's investment in our processes, people, training, technology, or our mindset, it's an ongoing and continuous investment is how we think of our business. Your second question?

Sucrit D. Patil: Yeah, my second question is to Mr. Shah. Given the pressure from rising funding costs and the needs to invest in more tech-related platforms, how are you balancing near-term margin protection with longer-term investment that could structurally expand the profit ceiling? Are

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there specific levers like liability-mix optimization or operating efficiency or any particular fee-based kind of service that you see as margins expand beyond FY26? Thank you.

Jaykumar Shah: So let me give you my thoughts on this. I think the most important question that you asked me that one, which is on the investment front, investing in technology. So the thought process that Ramesh has had right from day one is that is a necessity. Over the years, that is one area where while we obviously look at pricing everything that we acquire and spend very reasonably, if I can use that word reasonably, there has never been a question mark if our CTO comes along and says, this is what we need to invest for future growth. I think we have not even stopped during COVID. So that is one area we will absolutely continue to invest in. Whatever it takes, we will make sure we will carve out for the business to grow. It is our lifeline and we will continue to do that.

That said, across the company, the culture is extremely strong in how cost-conscious we are. The concept of an IRR on an investment is almost fed into every single person who comes along with an ask for an investment. So we're very blessed in that fashion that the thought process right from bottom up is very positive on that front, that's how I would look at it.

Sucrit D. Patil: I think that's good guidance from your part and I wish the entire team best of luck for next quarter.

Moderator: Thank you. Your next question comes from the line of Chintan Shah from ICICI Securities. Please go ahead.

Chintan Shah: Yes. Hi. Thank you for the opportunity. So just one question on this new labour code. So I understand that the 61 impact is largely due to the retrospective impact. But going ahead, we see any recurring costs, employee costs, or will that...

Moderator: Sorry to interrupt. Chintan sir, your audio is modulated and it's not coming properly. If you can just use a handset if you're using a speaker mode.

Chintan Shah: So is it better now?

Jaykumar Shah: Yes, Chintan, I think I got your question. Let me try and address it and you can jump in again in case if I missed something. So the question was, do we expect something more to come out on the labour code? Right, honestly, as I mentioned, I think that was a question that Viral asked at the beginning, if I'm not mistaken. It is a developing space today, within the finance community. The

understanding that we've had along with the guidance we've received, we've taken that ahead. Let's see how it develops over the next coming months. And then we can talk about it more at the end of the year in terms of what the numbers are.

Chintan Shah: Got it, got it. Yeah, that's it from my side. Thank you.

G. Ramesh: I think just having said that, to the extent that we have clarifications, it's been fully provided for. To the extent that we have clarification on the labour codes. So we've not done a partial provision. To the extent that we have actuarial valuations and whatever, it's been fully provided for – it is ₹61 crores at this point of time, yeah

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Chintan Shah: Sure. Thank you.

Moderator: Thank you. Our next follow-up question comes from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Jaykumar Shah : Sorry, Abhijit, we can't hear you. Sorry, Sagar, I don't think we can hear Abhijit .

Moderator: Due to the end of the allotted time, we would take that as a last question. I now hand the conference over to Mr. Jay kumar Shah for closing comments.

Jaykumar Shah: Thank you, Sagar. Thank you very much, everybody, for your time and patience. It's been a pleasure talking to all of you. Wishing you all a very happy festive season as Ramesh wished in the beginning. Have a good evening. Thank you very much.

Moderator: Thank you. On behalf of HD B Financial Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy

## Call: Apr 2026

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HDB/SLC/2026 /1470

April 22, 2026

To,  
Listing Compliance Department  
National Stock Exchange of India Limited  
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Scrip Code: HDBFS To,  
Listing Compliance Department  
BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street, Fort,  
Mumbai - 400001  
Scrip Code: 544429

Dear Sir / Madam,

Sub.: Transcript of Earnings Call in relation to the Audited Standalone Financial Results for the quarter and year ended March 31, 2026

In continuation to our letter dated April 15, 2026 , we wish to inform you that pursuant to Regulation 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Earnings Call with analysts and investors held on April 15 , 2026 , in relation to the Audited Standalone Financial Results of the Company for the quarter and year ended March 31, 2026 , has been made available on the website of the Company at the below link:

<https://www.hdbfs.com/investors>

A copy of the transcript is annexed herewith.

This is for your information and appropriate dissemination.

Thanking you,

For HDB Financial Services Limited

Dipti Jayesh Khandelwal  
Company Secretary and Compliance Officer  
Membership No. F11340

Encl.: As above  
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HDB Financial Services Limited  
Q4 FY26 Earnings Conference Call Transcript

For the Earnings Call held on April 15 , 2026 , 18:30hrs IST

MANAGEMENT : MR. G RAMESH – MD & CEO

MR. JAYKUMAR SHAH – CFO

Q4 FY26 Earnings Call

April 15, 2026

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Disclaimer: Certain statements in this release are forward looking in nature , which involve a number of risks, and uncertainties that could cause our actual results to differ materially from those in such forward -looking statements. HDB Financial Services Limited (HDBFS) does not undertake to update any forward -looking statement that may be made from time to time by us or on our behalf.

Moderator : Ladies and gentlemen, good day and welcome to the Q4FY26 Earnings Conference Call hosted by HDB Financial Services. Please note, this conference call is only for analysts and investors and not for media. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' and then '0' on your touchtone phone.

I now hand the conference over to Mr. Jaykumar Shah, CFO of HDB Financial Services. Thank you and over to you, Mr. Jaykumar.

Jaykumar Shah : Thank you, Rutuja . A very good evening to all of you. I welcome you all to the Q4 earnings call of HDB Financial Services Limited. We have with us Mr. G Ramesh, MD and CEO, along with myself and the senior management team of the company.

I hope all of you would have had a chance to peruse our financial results, investor presentation, and the press release which has been filed with the stock exchange earlier today and also available on our website, [www.hdbfs.com](http://www.hdbfs.com) .

We will start with management remarks and then open up the call for Q&A. The audio recording for this call will also be available on our website shortly after the call ends.

I would now request our MD and CEO, Mr. G Ramesh, for his opening remarks, following which I will provide a brief on the financial results and then open up the call for Q&A.

G Ramesh: Thank you, Jaykumar, and a very good evening to all of you who have joined us today. As we exit Fiscal 2026, I will begin by highlighting a few key aspects of our performance that underscore our operational resilience and long -term trajectory. These represent our commitment to execute our mission of serving aspirational India and sets the stage for continued growth in the coming years.

First , our customer franchise expanded to 22.9 million, about 2.5x since 2022.

Second , our expansive distribution network now covers 1,161 towns and cities of India with 1.6 lakh + retail and dealer touchpoints. This is the physical distribution; we also have extensive digital presence.

Third , disbursements for Q4 FY26 was the highest quarterly disbursement by HDB, growing 11% as compared to Q3 FY26.

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Fourth , book growth came in at 3.4% in the current quarter along with a marked improvement in asset quality, which sets the trajectory for our growth plans. We maintained the granularity of our 100% retail loan book with average exposure per customer of ~1.66 lakhs.

Fifth, robust operational execution with our pre -provisioning operating profit growing by 7.8% and PAT growing by 16.6% sequentially. On annual basis, our pre -provisioning operating profit grew by about 27%.

Sixth, on the credit and collections front , we had a significant improvement in asset quality across our products. Gross NPA, which we also report as Gross Stage 3 – we don't report two different numbers – reduced to 2.44% as at March 31, 2026 vs 2.81% as at December 31, 2025.

Coming to the macros :

Robust rural demand, sustained momentum in domestic economic activity, and supportive

policy measures augur well for the economy. Regulator kept policy rates unchanged and maintained a neutral stance.

Real GDP growth showed resilience and inflation stayed benign. While GDP growth projections remain largely steady, the West Asia c

onflict and probable weather disruptions from El Niño

may have an impact on growth and inflation. Quick restoration of supply chains and timely conclusion of the conflict remain a key monitorable.

We continue to track the rapidly evolving global situation and its potential impact on our business.

Coming to the vertical -wise commentary, as you may recollect, we run our business along three major business lines.

On Enterprise Lending : Q4 disbursement for the segment grew by about 28% sequentially and 15.4% Y-o-Y.

Our LAP + EBL book, which is our mortgage business, grew by 3.8% sequentially on the back of about 36% disbursement growth.

Our gold loan book doubled in FY 26 with 58.7% growth in disbursement Q-o-Q.

We expect positive momentum on our unsecured business loans going forward, where we have seen significant improvement in asset quality.

Collections and portfolio quality for this vertical has continued to improve.

On Asset finance : Commercial Vehicle and Construction Equipment book showed moderate growth in Q4. We saw continued improvement in asset quality in our Commercial Vehicle business with both early buckets and Stage 3 improving.

Our focused approach within CV and CE segments, backed by our extensive OEM partnerships and dealership networks, positions us for strong growth in the coming quarters.

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On Consumer finance, book for this segment grew by 5.3% Q-o-Q and 19.4% Y-o-Y. This was led by consumer durables followed by auto loans.

We expect momentum to continue in this segment on the back of sustained demand for consumer durables, auto loans, and 2-wheelers.

Overall, our customised suite of products enables us to provide credit to aspirational India. Our distribution touchpoints and digital sourcing channels ensure our reach across the country. Focus on digital sourcing channel through our DIY platform, which is do-it-yourself platform, helped us multiply our disbursements by ~2.2x in FY 26 and we expect this momentum to continue.

We have made significant investments in our technology capabilities, including AI, which have started yielding positive results for our customers across our marketing, customer service, and collections functions.

■ One of our initial implementations is in collections through a scalable bot-based intervention for engaging customers who are in the early buckets. In Q4, over 50% of our customers who needed a nudge were assigned a bot, which resulted in improved collection efficiency of about 25 basis points in the early buckets. As I said, this is still an early stage and we see a lot of improvement going forward

■ On the customer service front, we implemented in-house SLM powered auto-sorting and saw 20% reduction in response times, ensuring faster resolution of customer queries.

We are currently running 5 large AI-powered business initiatives across the organization. We will continue to invest in technology to drive efficiencies.

With that, looking forward to a healthy FY 27 with a strong growth trajectory. I will now hand over to Jaykumar for an update on the financials.

Jaykumar Shah : Thank you, Ramesh.

Moving on to the financial performance for the quarter.

■ Customer franchise grew to 22.9 million with an increase of 4.3% sequentially and 19.7% Y-o-Y

■ Gross loan book as on March 31, 2026, stood at **■1,18,493** crores, growing 3.4% sequentially and 10.9% Y-o-Y. Secured loans comprised 74% of the gross loan book.

■ Disbursements for the quarter ended March 31, 2026, was **■19,922** crores, up 11.2% sequentially – an all-time high, as Ramesh mentioned, for HDB

■ Branch count stood at 1,730, spread across 1,161 cities and towns.

■ Net interest income for the quarter was **■2,399** crores, an increase of 5% Q-o-Q and 21.6% Y-o-Y; Net interest income for the year ended March 31, 2026, was **■8,968** crores, an increase of 20.4%

■ Net interest margin for Q4 FY26 was 8.23% vs 8.09% in Q3 FY26 and 7.55% in Q4FY25. Net interest margin for the year ended March 31, 2026 was 7.96% vs 7.56% for the year ended March 31, 2025

■ Cost-to-income ratio for our lending business was 39.5% in Q4 FY26 as compared to 41.6% in Q3 FY26 (if we were to compare it with after labor cost, that was 39.5% in Q3FY26 , so it's largely remained flat ), and 42.9% in Q4 FY25. The ratio for the year ended March 31, 2026, was at 41.1% vs 42.8% in the prior year. Cost to assets for the year was at 3.8%

■ PPOP, which is Pre -Provisioning Operating Profit, for the quarter was at ■1,675 crores as against ■1,555 crores for the prior quarter, a growth of 7.8%.

■ Credit cost for the quarter stood at 2.35% as against 2.52% for the prior quarter.

■ Profit after tax for the quarter ended March 31, 2026, was ■751 crores as against ■644 crores for the prior quarter, a growth of 16.6%.

■ Gross Stage 3 as at March 31, 2026, was 2.44% as against 2.81% as at March 31, 2025.

■ Provision coverage on Stage 3 stood at 55.53%.

■ ROA (annualized ) for the quarter ended March 31, 2026, stood at 2.48% and for FY26 stood at 2.19%

■ ROE (annualized ) for the quarter ended March 31, 2026, stood at 14.83% and for FY26 stood at 13.94%

■ Earnings per share for the quarter was ■9.0 and the Book value stood at ■248.9

■ Our borrowing mix remains well diversified with a positive cumulative mismatch across all buckets up to five years.

■ We remain well capitalized with the total capital adequacy at 21.40% as at March 31, 2026.

We can now open up for Q&A and Rutuja, we will hand it over to you, to open up the Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Yes, good evening. Thank you for taking my question. And first of all, congratulations on a good quarter. That's exactly where my question is. That, while most of us know that...

Moderator: I'm so sorry to interrupt you, Mr. Tibrewal, but can you please check your audio quality? It is sounding a little muffled, sir.

Abhijit Tibrewal: Is it better now?

Moderator: Yes, please go ahead.

Abhijit Tibrewal: So, sir, I mean, I said, I mean, congratulations on a good quarter. And that's, I think, where my question is. We kind of, almost all of us know that we did not see any impact of the war in the month of March. But if you could just help us understand, what is it that you started seeing maybe in the last week, 10 days of March? What is it that we've seen in the first 15 days of April? Because I think, I remember, I think, sir mentioned that quick resolution of the conflict

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and restoration of supply chains remains a key monitorable . So, I mean, are we seeing supply chain disruptions? Are we seeing some impact on CV operators, particularly in the vehicle financing business? That is the first question that I wanted to understand.

Jaykumar Shah: Thanks, Abhijit. Let me cover it as a whole. I think it's important to look at it holistically. I think CV is a portion of our business. So, overall, March, while there have been talk in the market, I think March for us went well , and that's clearly reflected in our results. There has been clearly a concern and, you know, we called it out in our opening address, Ramesh mentioned it, that the West Asia conflict remains a key monitorable. I believe the government is doing a reasonable amount of work to make sure that while there are pressures all across, they're trying to keep things as normal as possible. I think at this point in time, the way we would call it is that I think it remains a key monitorable. There are certain challenges, but we

remain focused on our growth

from here on , and over the next 15 -20 days as the situation develops, we will keep monitoring it closely.

Abhijit Tibrewal: Got it, sir. And then, sir, the second question I have is, while you spoke a little bit about the CV ecosystem, on the same side, we also have this MSME and the SME ecosystem, which we all believe and keep hearing and keep reading, could be one segment which could be vulnerable, if there are kind of supply chain disruptions, if the means of these MSME and SME customers get impacted because of the ongoing conflict. So, I mean, there, any thoughts and the related

question is that, if at all you are seeing anything already in the month of April, was there any deliberation around building some contingency provisions or some buffer provision?

Jaykumar Shah: So, Abhijit, the way I would look at it is, the results are obviously as at March. And, we do continuously discuss as a business, because our business is pure retail. Right? So, at this point in time, we haven't seen any specific level two /level three impact coming through, is the way I would put it. Again, I will, at the cost of repetition, the situation remains a key monitorable for us. As and when things develop, I think we will do the needful.

The one good thing is that, you know, across the years, I think we remain very strong in terms of making sure we have touchpoints on the ground. Across our LAP business, across MSME business, we have called it out in the past that we had challenges, we're over it, right? We called it out last quarter. We are completely over it as at the March quarter. And the whole focus now, on the ground, across enterprise lending business, across CV and across consumer finance is growth.

So that's the way I would put it and that's the way we would like, you know, our stakeholders, our people, our investors to work with us on the growth agenda. Obviously, if things change globally and things change on the ground and there's level two/level three impact, we're well positioned to deal with it.

Abhijit Tibrewal: Just a follow up on what you just answered. I mean, if I look at this year, I think we've reported around an 11% kind of a Y-o-Y growth in our loan book and we've seen momentum build in the second half of this fiscal year. And like you mentioned, right, the focus is on growth. So, I mean, how are we going to approach FY27? Let's keep this conflict aside for a bit, but if things were

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to become much more peaceful than what it is today, what is it, how is it we are going to approach growth in the coming fiscal? That's all from my side. Thank you so much.

Jaykumar Shah: Thank you. So, the way I would look at it, Abhijit, is that we've always called out that in the medium term, over the three -year agenda that we have, we look at a Nominal GDP + 6% to 7% growth and we're very focused on making sure we deliver to that.

Abhijit Tibrewal: Yes, yes. That answers my question. Thank you so much and I wish you all the very best.

Jaykumar Shah: Thank you.

Moderator: Thank you. The next question is from the line of Renish from ICICI. Please go ahead.

Renish: Yes. Hi, sir. Congrats on a good set of numbers. Sir, just couple of things, Jay, maybe slightly repetitive but please bear with me. So on the growth front, right, I mean, if we look at FY26 as a whole, you know, barring last maybe 45 days or two months, we are still on the lower side, which is sub -10%. Obviously, our growth aspiration has always been nominal plus 6% -7%. And now as you mentioned in your opening remarks as well that the stress in CV or maybe unsecured PL is largely over. So how confident we are of achieving those aspirational growth numbers in FY27 - FY28?

Jaykumar Shah: Okay. So I'll just put numbers into perspective, Renish. Our Q2 disbursements were ₹15,599 crores and it's on Slide 22 in case if

anybody wants to refer. Q3 was ₹17,917 crores. Q4, we

exited at ₹19,922, right? And the clear aspiration from here on and the goal and the plan is to start delivering on this base and forward, right?

To be able to achieve our numbers, and we have plans in place, we've started April with the same level of vigor, the same level of conviction within our teams to be able to deliver on the growth agenda that we have.

The first step obviously in there is disbursements. Some amount of math will play in, in terms of how much disbursement relates into how much book. What I would like the investor community to read into to begin with is the disbursements because as that starts growing and that starts resulting in the positive book, you will automatically see the movement towards what we want to deliver.

Renish: Okay. So you're trying to, let us say highlight that from Q1 onwards, the improving trajectory which we are witnessing in second half of FY 26 ideally will continue and that will obviously lead to the kind of growth we are looking for. I mean, is that the fair assumption?

Jaykumar Shah: Yes. And just to make sure we are on the same page, Q1 generally is slower, so I would compare Q1 to Q1 obviously, not Q1 to Q4 and say there is a 10% jump on Q4 to Q1. But obviously, there will be good amount of positivity that you will see or we expect to see from ourselves as well.

Renish: Got it. And secondly sir, I was just looking at the repayment rates and as per my calculation in enterprise lending, my repayment rate has jumped to 11%, which used to be average 9% on

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quarterly basis. So just wanted to check, I mean, is that due to higher BT -out in LAP or is there a product mix change within enterprise lending, which is leading to higher repayment rate?

Jaykumar Shah: So maybe more a product mix thing. Today, we haven't seen anything odd in the month of March than what we see generally in March for LAP and EBL. The other thing as we have said and in the past and we continue to focus on is the risk -adjusted portfolio that we look at, right? And if you look at growth, right, the enterprise lending business genuinely grew at 20% +, right?

Ramesh called it out in terms of the enterprise lending business growth and that's a very positive thing, so Q4 disbursements grew 27.9% sequentially. And that's a very powerful statement for us in terms of our ability now to pump things in and move forward from here.

Moderator: I'm sorry to interrupt. May we request Mr. Renish to please rejoin the queue?

Renish: Okay. Yes. Sure. Thank you, Jay.

Jaykumar Shah: Thank you.

Moderator: Thank you. The next question is from the line of Viral Shah from IIFL Capital. Please go ahead.

Viral Shah: Yes. Hi Jay. First of all, congratulations on good set of numbers. First is with regards to the, I would say, the cost of funds and the margins. So in Jan, Jay, you had mentioned that now incrementally there is not meaningful scope and room for cost of fund reduction. So just first wanted to understand what has resulted in this 35 bps improvement on a sequential basis? And more importantly, how should we look at it I would say going ahead, especially given the way the bond yields are? And even if say the war resolves, some of that impact is going to be more lasting at an economy level. So how should we now look at it incrementally? So that's my first question. I'll come for the second question again after this.

Jaykumar Shah: Okay. So the way to look at NIMs and let me start holistically first, Viral. So if you look at NIMs – one of the biggest things, we have priced ourselves over the last three quarters that we've been speaking, is on holding to our rates, right? And that has continued in this quarter as well where across every single product that you look at in our portfolio, we have made sure as a business, as a team, we have

held on to our rates. So very clear on making sure the risk -adjusted return that we make, we do well.

So there has been a slight reduction of maybe 7 bps -8 bps, you know, on the yield side, but that's purely on account of product mix. So you could see that disbursements on the unsecured book hasn't grown as much. And that's something, as I mentioned earlier, we're very focused on making sure that grows. Once that growth comes back, the yield should come back and make sure we stay within that 14 plus range. So that is step number one.

The second big item, on the borrowing side that you mentioned, as we've been speaking, we said that, you know, we were confident of our borrowing costs and we continue to be confident. What we have done is we've made sure on the borrowing side, we have used certain strategies on borrowing which help us reduce cost. We have made sure we've worked with our partners to keep costs at a bare minimum. And there has been some advantage that we had called out earlier that we don't have any more low -cost borrowings which are to reset. We finished all of that. The

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last tranche almost finished in October – November 2025. What that has allowed us to do is that if there were borrowings, you know, at 8% + or even a 7.5%, we've managed to further work on that and make sure we tighten the ability on our side to make sure that the funds we get into the company are at the best rates to enable business to go out and lend, and lend to the right quality customers to ensure we get a good risk -adjusted return.

So pretty much sustained that, Viral, and some of these pieces, you know, it's not one particular strategy. It's a combination of various things that we've been working on for the last few years falling in place, working through it, strategic pieces coming in and making sure it helps us, you know, come to a cost of borrowing which we're good at.

So that's been the key focus. In the market, has borrowing cost gone up over the last one month?

Answer is yes. The one thing you will see in our borrowing mix is that we still have very low CPs and that's dry powder that we have kept with ourselves. We still have a very healthy mix in terms of bank loans. So it has not even crossed 50% today. So we are making sure that we are very careful with how we borrow, don't let our mix go off and make sure that this is sustainable.

Viral Shah: Got it. So you expect this cost of funds to broadly sustain even if where we are the broad market rates are?

Jaykumar Shah: I would like to think at least for the current quarter we're good, right? Beyond that obviously nobody knows what can happen tomorrow morning. But everything remaining equal, I think we will be able to sustain it in the near future for sure.

Viral Shah: Got it. And my second question Jay was with regards to, I would say on growth, and I know a couple of questions you addressed that and of course fully understand that it is first going to reflect on disbursement and then gradually on book. But within that when I look at the mix, right? So first of all on a Y -o-Y basis the disbursement growth is 13%. Of course there is a

seasonality just as from 4Q to 1Q, similarly from 3Q to 4Q also there is a seasonality, right? So on a Y-o-Y basis the disbursement growth is still 13%.

A, first of all, do you see this picking up to say at least say in the corridor of 18% to 20%? The reason why I say this is that the mix of it, the share of or at least the growth of asset finance which is typically a longer tenor book is actually reducing and whereas the enterprise and consumer finance is actually driving this disbursement growth.

So for our AUM growth to kind of say materially pick up and eventually at least show up say over a period of time, we would need this disbursement growth to be at least 18% to 20%. Do you see visibility of that?

Jaykumar Shah: So let me cover a few aspects. Today when you look at our enterprise lending and asset finance and, the consumer finance side. So in enterprise lending we have LAP which is a longer tenor product. In consumer we have two -wheeler and auto loans which are relatively longer period compared to a consumer product. Plus in the asset finance space as well, we have discussed, you know, on multiple occasions over the last quarter that we are very focused on making sure we grow our used business. And we have a lot of plans in place, we've done a lot of homework there

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and we are relatively confident that that business also we will grow well. So across the board in areas that we wish to grow, that level of confidence is there today.

To your second question, I'm very hopeful on a Y-o-Y basis the number that you mentioned is something which we will work towards and if everything remains equal, hopefully we'll do well on that number as well.

Viral Shah: Right. And can I just squeeze in last question?

Jaykumar Shah: Okay.

Viral Shah: So basically, on the asset quality front, agreed there has been I would say very marked improvement in 4Q. Just wanted to cross-check on one piece. There has been a sharp 30 bps increase on Stage 1 PCR. So is this just a n annual refresh or there is something else over here which has fed in?

Jaykumar Shah: No, so we've discussed in our previous interactions Viral that, given that we are a very retail lender with a highly granular book, our provisioning is determined, you know, or driven largely by our product mix. Right? So it's very granular, it's refreshed every quarter, right? There's nothing called one time. We identify homogeneous asset pools for calculation of ECL which is driven by PD -LGD of those pools and the segment /sub-segment as applicable. One of the things our provisioning methodology takes into account is, you know, the company's historical credit loss experience, current economic conditions, forward-looking information and scenario analysis. That's built into it in terms of the methodology and that more or less comes out. So there's nothing specific that I would want to highlight, but we are well positioned in the medium term in terms of, the base at which we wish to operate on the credit cost side.

Viral Shah: Got it. So basically, this partially does take into account the current scenario that we are in.

Jaykumar Shah: Yes. The methodology makes sure that, you know, if there is any adverse thing, to an extent it would, you know, take care of those things.

Moderator: Sorry to interrupt. May we request Mr. Viral to please rejoin the queue? Thank you. The next question is from the line of Shreya Shivani from Nomura. Please go ahead.

Shreya Shivani: Yes, thank you for the opportunity. I had a question around the vertical-wise asset quality that you have shared. Just wanted to highlight – we only have data for three quarters, but just wanted to understand first is on the asset finance bit. It seems to have moved from, the gross Stage 3 moved from about 3.1% in fourth quarter of FY25 to 4.3 % last quarter and now reversed back to 3.8 % So this is quite dramatic an improvement while even the deterioration was quite rapid. Can you help us understand what exactly is driving this much faster recovery trends that we are seeing over here? Is it simply a function of market environment improving or anything that we were talking about our technology-led collection team, AI-led collection bots, making it easier for us? Or anything that you can highlight on that front that will be useful?

Similarly, on the enterprise lending in the gross stage 3 and the PCR, while we called out the stress in this book in the last couple of quarters, the PCR here used to be much higher at about

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57%, 58% or so

last year. We've brought this down, so it seems a little contrary. We thought that, I mean, there would be a little bit more provisioning required over here for this book to clean up. So, just some understanding around the provisioning for the enterprise lending book? Thank you.

Jaykumar Shah : Yes. So, Shreya, let me take the opportunity to make it a little more holistic and give you both your answers as well.

So, if you look at how our stage 3 has operated, an important piece is enterprise lending moved from 1.82 % to 1.58 %. It was 1.79 % last year, right? So, there's been a marked improvement there.

And across the Board, as I mentioned, a lot of our calculation happens through PD – LGD, and what the underlying book mix is. So, there's not much that we go in and check as to what account falls under A or B, and we do some manual adjustments – We don't do that. It comes in a very automated format. In fact, I would like to give credit to our IT team and our finance team that they have actually fully automated ECL this quarter. So, it actually comes out from the system. Now, in doing that, obviously, there will be certain loans at a particular stage with different kinds of PD – LGD in different sub-products. So, it's purely an outcome. We don't believe there is anything more that we need to do. I hope I never have to bite my tongue on this one, but there's a lot of work which has gone in to make sure that we're comfortable with the book in enterprise lending and be able to grow from here on with good quality. So, that's the first one.

On asset finance, as you rightly mentioned, it has moved from 3.14 % to 4.3 % to a 3.79 %. Now, as you would remember, when we called it out in Q2 and Q3, there was a challenge which the business got hit by, and the recovery has been slightly K-shaped. And what do I mean by that? The accounts that went and got challenged at the end of Q1, their recovery hasn't been very great. So, what we have done, and if I can just share some insights, what we have done is we've made sure we push hard on that recovery to reduce stage 3. And that's where the business and collections team together have done well. But at the same time, they've worked very hard to make sure flow forwards reduce. And that is a key thing from a future standpoint, which gives us the confidence, as Ramesh was mentioning, from a growth standpoint, to be able to grow from here on, because what we are on -boarding now is good. So, you will see that stage 3 come down. At the same time, you'll see the health of the overall book sustain as well.

And finally, on consumer finance, there also you see good improvement from Q3, while from last March, there has been a slight uptick – so, that 2.26 % is now 2.44%, but there are lots of strategies in there that we have today to be able to work around this number and hopefully pull it down, or maybe stabilize it over the coming quarters. Yes?

Shreya Shivani: Right. Just to follow up on that, in the asset finance, you mentioned there's a K-shaped recovery. So, the accounts which were challenged in one – first quarter, there it has not been great, but the accounts which probably slipped in the last quarter and all, they are recovering at a much faster pace. Is that the way to think about it?

Jaykumar Shah: Yes, in one word.

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Moderator: The next question is from the line of Sonal from Asian Market Securities.

Sonal: I just have a few questions on the disbursement side. So, if I look at enterprise lending, there has been about 27% -28% growth on Q3 basis. So, what really changed in between the two quarters? What is it that the company did which led to such high growth on a Q3 basis?

Second is on the asset finance. So, if I look at the full year number, there has been a decline of 3% disbursement. So, I just wanted to understand, I mean, was this a conscious

call just to focus

on the credit quality that you've allowed to grow or probably declined this book a bit in terms of disbursement?

Also, I mean, we've been talking about 50 -50 used and new kind of mix within asset finance.

So, going ahead, I mean, how should we look at the growth, especially in the asset finance segment? And maybe you could call out in the next one or two years, how should your AUM be?

Jaykumar Shah: So Sonal, two parts. I'll go through EL first. On the enterprise lending segment, we had called it out in Q1 that we had strategically or tactically looked at focusing on making sure the asset quality comes back, especially within the business loan side. By Q2, we were relatively confident. From Q3 onwards, we have really started pushing on the growth front, that's come about on the secured business within enterprise lending in a good way. On the unsecured business, we have the house in order in terms of the backend, in terms of the credit engine, in terms of the criteria that we look at. Now, the whole focus is just one, making sure our guys get onto the ground with the confidence that the risk-adjusted pricing that we are talking about, go to the right customer for the needs that they have, support them in their growth, and ensure HDB grows as well. So, that's the focus really on enterprise lending.

On the asset finance side, you're right. We've spoken about reaching towards a 50 -50 over a four-year period, and that is something which I called out earlier as well, that we want to really grow our used business. So, on the new side, we will grow at industry rates. On the used side, we are going to push more. We are much smaller today than a lot of established players in the

market, and with the kind of network that we have, with the kind of teams that we have, I think the focus is really going to help us push that hard. It is a key deliverable for us. We will be watching it closely. And I'm sure in three months' time when we speak again, this is something that I'm very hopeful I am able to deliver a good amount of positivity on that front.

Sonal: And so, on the AUM mix?

Jaykumar Shah: So, the AUM mix today is 38 -38-24. I think over a period of time, it could be 38 -37-25 or so in the short term. So, every single business that we have remains a key focus area for us. There is nothing that we're deprioritizing. We are just making sure that as we grow from here and we double in size over the coming years, the risk -adjusted portfolio is a conscious decision and not something that we have to worry about at some point in time.

Moderator: The next question is from the line of Shubhranshu Mishra from PhillipCapital.

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Shubhranshu Mishra: Sorry, I joined this call a bit late. If you can just reiterate the growth guidance, both for disbursement and AUM, the credit cost guidance, and the NIM guidance for FY27. Just one data point which I wanted to understand. What is the total quantum of write -offs for entire year FY26 and in fourth quarter FY26? Thanks.

Jaykumar Shah: So, Shubhranshu, first thing, we don't provide guidance on specific numbers. But I'll cover it in a manner of what I have been speaking with all investors over the last few quarters.

So, on the growth side, we are looking towards the medium -term trajectory, CAGR -wise, Nominal GDP + 6% to 7%. And at this point in time, you will see that first coming through disbursements. And then obviously, on the book front, it will reflect as such.

On the credit cost side, we've discussed over the last couple of quarters that we wished for it to moderate in the range of 2.3% plus /minus. And at this point in time, we believe that going forward, we should be able to work with that number for the medium -term.

On the NIM side, we have guided or we have spoken, and depending on how the market goes, of making sure that we maintain

an 8% +, today it is 8.2 %. The businesses have been very focused in making sure at no point in time we drop yields. So, that's really helping in making sure it stays up. On the borrowing side, again, the teams have done extremely well in making sure our strategies work. So, we're at 8.2 % (NIM) today. But an 8 %+ is something which we would want to be at every point in time over the coming period. So, that's something which when we compare it to last year, we had dipped at a point in time. Going forward, we will make sure that we're consistent in an 8 %+ NIM.

Shubhranshu Mishra: The quantum of write -off in this quarter and for year FY26?

Jaykumar Shah: So, we'll pick it up. It will be there in the financials. I think we just pick it up offline in terms of the number as such. Yes.

Shubhranshu Mishra: Okay. If I can just squeeze in one last question, the growth in opex, how much are we expecting in FY27?

Jaykumar Shah: So, my opex today is at, whether you count it as a 39.5 % (Cost -to-income) or a 3.7 % - 3.8% (Opex to gross loan book) . I think we will range around 3.7 %. Ramesh mentioned about a few AI initiatives that we're running. And we're very keen that we continue to invest in the business from a growth standpoint. At the same time, our Chief Credit Officer is very keen to make sure that on the collection side, some of these initiatives also help us, you know, reach out to customers better in making sure we nudge them in the right way for money to flow back in faster. So in similar range . Thank you.

Shubhranshu Mishra: Thank you so much. Best of luck.

Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus. Please go ahead.

Shreepal Doshi: Hi, sir. Thank you for giving me the opportunity and congrats on a good set of numbers. My question was on margin front. So, we have been trying to, let's say, increase the used segment

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within CV /CE as well as our share of consumer loans is also marginally increasing and we are aiming at further increasing it , whereas on the cost of fund side, you highlighted that we would be able to maintain it at current levels for at least medium term.

If that happens, then what is the kind of, let's say, margin that we can reach to? Because if these levels play out, then truly, is it possible to do maybe on a sustainable basis at an 8.2% margins?

Jaykumar Shah : So, first of all, thank you, Shreepal . And I'm very hopeful that what you have asked is what I can deliver. Just to clarify, what I said is at least for the current quarter, right, we should relatively be good on our cost of borrowing. And there is a lot of volatility today, Shreepal . So, what we were borrowing at probably 3 months ago and today has been slightly different.

I'm hopeful that going forward, we will keep it (NIM) at higher levels, but an 8 %+ is a non -

negotiable the way we treat it internally today, right. And that is something when we make our 2-year, 3-year, 5-year plans, that is, as I said, a complete non-negotiable. At every point in time, like any good business, we will maximize how we look at our assets in the form of risk-adjusted return.

As I said, the business has been great in terms of making sure that yield stays. The product mix, we have been comfortable all throughout at a 72 %-28% mix, 72% being secured. We are at 74% secured today. So, as we grow some of those businesses and that comes in, hopefully, that helps us on the top line. And with borrowing costs, if all stays well, let's hope that we're able to talk about the number in the medium term that you mentioned.

Shreepal Doshi: Got it, sir. Just one last question was on the branch network side. So, that number has come off. I understand we must be rationalizing some of the branches or maybe consolidating some of the branches. But should we plan to add branches, let's say, over a

11 in FY27 or let's say in FY28 time period?

Jaykumar Shah : Absolutely , but I'll turn it around a bit. We have not reduced a single square footage of usage in the last three quarters that we have been in existence (as a listed company) , right.

So, the most important thing, Shreepal , that we are looking at now is looking at branches , and just so that all of you are on the same page. Today, when we set up a branch, we set up a branch even in 600 square foot and 800 square foot, right. As a branch grows, we might have two branches in the same vicinity that we have done over a period of time. We are looking to see how do we double, combine that branch potentially, and maybe multiply it in terms of size. So, there are a lot of branches today that we've moved from a 600, 800 square foot to a 4,000 square foot, right. And that helps us deliver better to the customer. You need one branch manager, you need one security guard, a very trivial thing, which is very important in the working space, and you'll properly have toilets. The employee well-being is better, the feel is better, helps us deliver better to our customers. So, a lot of those factors have gone in, in making sure that the space that we have now is properly suited for the next 10 years.

So, that's something we've been working very hard on. So, you might see 20 -30 branches go up and down. The focus also is how we deliver better to our customers. So, DIY that Ramesh spoke about, going 2x to maybe 5x, etcetera, growth-wise, right. That does not need a branch – that Q4 FY26 Earnings Call

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needs technology. And as I mentioned, that's something we'll continue to invest in to make sure we deliver on the overall growth targets that we have.

Shreepal Doshi: Got it, sir. Thank you, sir. Thank you so much for answering my questions.

Jaykumar Shah: Thank you.

Moderator: Thank you. The next question is from the line of Sucrit Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit Patil: Good evening to the team. I have two questions. The first question to Mr. Ramesh is, how do you see HDB Financial Services expanding its lending and customer financing business in the coming quarters, especially in terms of reaching new customers, improving service quality, and using digital platforms to make borrowing simpler? That's my first question. I'll ask my second question after this. Thank you.

G Ramesh: Okay. So, if you look at our customer franchise, that's grown from about 5 million in 2020 to about 22 million in 2026, right? So, it was 12 million in March 2023. It was about 5 million in 2020.

So, a key to our growth, we believe is the customer that we service in India, which is aspirational India. This segment is expected to grow as India grows, as India gets larger economically. This segment is likely to have the most outsized growth in terms of just sheer number of people who will come into our addressable base. So, that's the first point.

The second point is that we spoke about our distribution. We are present today in 1,161 towns and cities. I can assure you that the 1,161 town that we're talking about is probably as small as what a cluster can get. But I think what we've been able to do is to deliver service standards, which are uniform across the country. So, in our consumer finance business, where we work with more than 100,000 retailers, whether the retailer is in a metro like Mumbai, Delhi, or whether he's in a small town like Jorhat, the service standards are same in terms of the time it takes us to do a credit appraisal and do a delivery. And by the way, this is true for all products, but I'm taking consumer finance because that's a product where we deliver a credit decision in a matter of few seconds or minutes. So, that's the second point in terms of how do we engage with our customers in a very, very transparent and non-discretionary manner.

er.

So, the third thing is that our extensive distribution means that when we work with our manufacturer partners, whether it's in our commercial vehicles , construction equipment,

consumer durables, digital products or tractors, we have a very strong proposition for them in that we can cover practically the entire country – and give them a value proposition, not just restricted to 100 or 200 cities, but 1,000 + cities in India. That's a very strong proposition. It's a strong moat. It's not easily replicable. Building this kind of distribution takes time and building consistency in service delivery takes even more time.

The fourth is on our digital initiatives. Today, you can go to an e-commerce platform and get a loan through HDB, even if you are new to HDB. Most of our – the downloads of our app today stands at 1.41 crores downloads. We have 4.76 lakh daily users on our app. What this enables

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us to do is to engage with our customers who are our existing customers to make sure that we're able to tell them about what's happening, what are the offers we have for them, and what else we can do for them so that we have an extensive engagement with our customer base.

So, what it enables us to do is to engage with the customer through their lifecycle and that's really the proposition of our company, that how do we engage with the customers through their lifecycle. So, whether it's a consumer loan that they want to enhance their lifestyle or whether it's a vehicle loan to augment income or whether it's a loan against property for a capital investment or for a business expansion that they have. So, irrespective of the use-case or the need-case, we have a suitable product and that product is the hero for that customer at that point of time. So, that's the fourth point.

The other point is on use of technology. Some of this is for the three key use cases for technology. One is to reduce time to deliver credit or time to collect or time to service a customer. So, I think that enables us to deliver a consistent proposition to customers. The second is to reduce cost. There are certain activities, if I can put them on a digital workflow, I reduce the cost as compared to what I would do otherwise. The third is to improve quality and given that we originate almost a million customers a month or thereabouts, which means that we have to deliver very high quality service. So, if I'm going to do 100,000 consumer loans, I have to make sure there are 100,000 pay outs, payments go to the dealers without any delay, so that we have consistent business coming through.

So, whether it's cost, quality or time, we put out metrics when we put out a technology project and make sure that we deliver on those numbers and we monitor to make sure that those technology interventions deliver the results that we are looking at.

Sucrit Patil: Thank you. My second question to Mr. Shah is, how do you plan to manage risk in the lending business, such as credit defaults or any compliance changes and market volatility, while keeping the profit steady and ensuring a sustainable growth for the company ...? Thank you.

Jaykumar Shah : So, the way we look at it, first and foremost you need to think about us, that we are an HDFC bank subsidiary. Today, every single regulation that comes in, pulls it more towards like a bank. The benefit we've had, if I can put it that way, is that every single bank regulation that comes in, we are actually operating on that any which ways. And within those realms of possibility or boundaries that we have, we have a moat in terms of how we deliver to our customers and make sure that the customers that we look at, clearly have a need for what we do and we partner with them on their growth. So, at this point in time from where we are in the overall credit cycle, where we are with our customers, as we mentioned we're v

ery focused on the risk adjusted

portfolio, risk adjusted customer that we looked at. And over the last quarter, it's a testament in terms of us holding on to our top line. We will continue to do that. We have a wide variety of products, each product, each sub segment in that has a focus in terms of which kind of customers they should look at. The credit teams put out details in a very, very granular manner and that will absolutely continue going forward.

Sucrit Patil: Thank you, and best wishes.

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Jaykumar Shah : Thank you so much.

Moderator: Thank you. The next question is from the line of Manish Ostwal from Nirmal Bang Securities Private Limited. Please go ahead.

Manish Ostwal: Yes, sir. Thank you for the opportunity. In terms of sir, customer segment like we are – are you seeing in this particular financial year, have you seen any major market share gain in some of the product categories or customer segment compared to our competitors in this particular year – can you call out some products or segments?

Jaykumar Shah : Sorry, Manish, we're not clear about the question. Could you help me understand a little more, rephrase it or help me understand it better?

Manish Ostwal: My question is, sir, I want to know HDB Financial gain ..... in particular customer segment?

Moderator: I'm sorry to interrupt you, Mr. Manish. We are unable to hear you, sir. Your voice is breaking.

Manish Ostwal: Am I audible, sir? Now it is better?

Moderator: Please go ahead.

Manish Ostwal: Yes, my question is this particular ....

Moderator: I'm sorry to interrupt you, Mr. Manish, but it is not audible. We are unable to hear you, sir. It is breaking while you are speaking.

Jaykumar Shah : We will go to the next speaker and we'll come back to you, Manish, because we really can't hear you. And if there is something that we missed, then you can obviously get in touch with Gaurav and then we'll come back to you as well.

Moderator: Thank you. We'll move to the next question, which is from the line of Renish from ICICI Securities. Please go ahead.

Renish: Thanks for the follow-up. See, just again touching upon this distribution thing. I mean, for retail business obviously the distribution is a key pillar. Now, when we look at whether it is, town and cities addition or physical branch addition over the last one year or so, it is actually either flat or there is a decline, right? So, how are we seeing this internally and what gives you comfort that we will be able to achieve our aspirational growth targets with this physical network and also distribution in terms of town and cities?

G Ramesh : So, Renish so what I think one of the things that's changed over the last few years is the amount of digitization of processes. So, no more does a sales officer carry a file to the branch anymore. The credit is delivered to where the customer is in most of our product categories, right? In most of our customer categories, credit is delivered in the field, it is not decided in the office. So think of a consumer loan or a vehicle loan, the credit is delivered at the point of sale, it's not delivered and decided in the office anymore. So which means that, I don't have to have a physical office in the vicinity of where my sales person operates, for the person to carry a file every day to the office.

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When we started our business in 2008, practically every customer application, there would be an application with supporting documents which would be received in the office at the end of the day. Credit officer would look at that file and the process would start then.

Today the process starts when the customer is met, expresses interest and shares some basic documents. Those are all scanned in real time through an app that the sales person carries. I'm talking about assisted

journey. In a digital journey the customer does all this by himself or herself. So the need to have a physical office in the proximity of our distribution network is lower today. I mean, I could simply ask the sales person to visit the office once a week if it's 50 kilometres away.

So what we've been able to do is to set up more distribution points through our feet -on-street and through our digital channels than what we could have afforded to do a few years ago. I think the decline you see is really because some of the smaller locations where we had offices, we decided that it's not worth keeping a physical office anymore because that location can be serviced from a second location.

The other thing that I spoke about is that our Do-it-Yourself (DIY journey) has gone up by 2.2 times in one year. Now a lot of existing customers, right, because they have had good repayment relationship with us – we encourage our customers to come through our app where the offers are available and complete the journey digitally itself because that can be done whenever the customer is free whether it's 11:00 a.m. in the morning or whether it's 7:00 p.m. in the evening, does not require a personal intervention. And if the customer at any point of the journey wishes to engage with the company, there's an option to convert that digital journey to an assisted journey.

The third thing that you also have is that today we have an option for customers to even use our – take our loans through e-commerce sites which again is a fully digital journey. So distribution expansion is a function of, you know, the physical presence, distribution presence which is unassisted journeys, and digital presence, which is again assisted journeys.

So today a dealer can login a file on our behalf because we've given him an engagement layer and then the customer journey can start from there, does not require our person to be there. So, we will use all available methods to expand our distribution and continue to expand that. I think physical offices, unless there's a certain size that we reach, we take a call on whether we need a physical office or not.

As I said, I can have a sales person working remotely and visiting our branch only once a month because there's nothing that he really needs to do. He doesn't pick up payments, he doesn't, carry files anymore because it's all digitally transmitted.

Renish: Got it.

G Ramesh : Anything else you want to add Jay?

Jaykumar Shah: No, I think that's great. Thank you, Ramesh.  
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Renish: Sir, just follow up on that maybe Jay if we have time I don't know or I can...

Jaykumar Shah: So I think we're running out of time, Renish. We can pick up things offline. Is that okay?

Renish: Okay. Sure sir. Sure. Thank you so much sir.

Jaykumar Shah: Thank you.

Moderator: Thank you. Ladies and gentlemen, this our last question for today, which is from the line of Jay Betai from Nirmal Bang Institutional Equities. Please go ahead.

Jay Betai: Hello sir. Thank you and congratulations on the good set of numbers. My question is currently on repayment, since the start of the war, how has been the repayment been in the MSME clusters?

Jaykumar Shah: So we haven't seen any major disruption is the way I would put it. So something Jay we covered earlier also that March has been fine for us. And at this point in time, I think too early to call out second, third, fourth order impact. We seem to obviously get some positive messages as well. Let's hope the positive messages translate into positive outcomes. And we at this point in time based on what we are seeing on the ground would really want to focus on growth and movement forward from here on. And obviously that growth complements with the fact that collections remain good.

Jay Betai: Okay sir. Also and just one more question if I can squeeze in, on your

AI initiatives, it is just for

reducing TAT and bringing in new customer or is it for reducing o pex and reducing expected credit loss as well?

G Ramesh : Look, technology initiatives cover all three outcomes, right? One is to reduce time it takes to deliver credit or time to process a loan or time to make a payment to our partners. Second is improving quality and third is reducing cost. So all three initiatives, there'll be projects that work on all three, there'll be projects that work on making sure that things work well. For example, we use AI extensively in our cybersecurity. Now that 's really something that can't be done by human beings anymore, right? So you need technology to help us do that. So for example, we have branches which are monitored on a real -time basis. So there could be thousands of CCTV cameras that we have in our branches. They need to be monitored, can't be done by human beings so you enable AI to monitor so that you a human being only looks at exceptions.

So as I said, we – aone of our core principles is to deliver credit across the country in a uniform manner, so whether the customer is in a Tier 4 town, a village or a metro. Now that gets delivered through technology, right? That consistency in service. So depending on the use case, it could be any of the three or a combination of all three or all three at the same time. Yes. Thank you.

Jay Betai: Okay sir. Thank you sir. Sir one more question from Mr. Manish...

Jaykumar Shah: Jay, we'll sorry, we we're running out of time. So tha t's okay, we can speak offline.

Jay Betai: Thank you sir. Thank you.

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Moderator: Thank you. As this is the end of allotted time, I now hand the conference over to Mr. Jaykumar Shah for closing comments.

Jaykumar Shah: Thank you, Rutuja. Thank you very much everybody for your time. We are quite excited for the quarters ahead and the performance for Q4 has laid the right foundation on growth and profitability to be achieved over our medium -term goals. Thank you very much and have a great evening. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of HDB Financial Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been lightly edited for clarity and accuracy